

COMPETITION APPELLATE TRIBUNAL
NEW DELHI

APPEAL No. 60 of 2015

[Under Section 53-B of the Competition Act, 2002 against order dated 16.02.2015 passed by the Competition Commission of India in Case No. 61 of 2012].

CORAM

Hon'ble Shri Justice G.S. Singhvi
Chairman

Hon'ble Shri Rajeev Kher
Member

In the matter of :

M/s. All India Motor Transport Congress
Having their office at :
1/16-A, Asaf Ali Road,
New Delhi – 110002.
Through Secretary, Shri Naveen Gupta

... Appellants

Versus

1. Indian Foundation of Transport
Research & Training (IFTRT),
Having their office at :
865/32, Guru Nanak House,
S.P. Mukherjee Marg,
Delhi – 110006.
2. Competition Commission of India
7th Floor, Hindustan Times House,
18 - 20, Kasturba Gandhi Marg,
New Delhi – 110 001
Through its Secretary.

... Respondents

Appearances : Shri Harpreet Singh, Advocate for the Appellants.

Shri S.P. Singh, Representative of Respondent No. 1.

Shri Samar Bansal and Shri Vinayak Mehrotra, Advocates
for Respondent No.2 - Competition Commission of India.

ORDERPer Chairman

This appeal is directed against order dated 16.02.2015 passed by the Competition Commission of India (for short 'the Commission') whereby it held that the appellant has acted in contravention of Section 3(3)(a) of the Competition Act, 2002 (for short, 'the Act'), passed a cease and desist order and imposed penalty of Rs.14,24,521/-.

2. The appellant is an apex body of transporters (both cargo and passengers) operating in different parts of the country. It was registered as a company under the Companies Act, 1913. Some of the objects of the appellant, as set out in the Memorandum of Association, are :

“(a) to promote the interests of, and to generally help the persons engaged in the business of Motor Transport by eliminating unfair competition, and finding ways and means of improving their services.

(b) to (e) xx xx

(f) to discuss, support, oppose any legislative or executive measure by all legitimate and constitutional means which affect or are likely to affect the Motor Transport and Trade.

(g) to guard and defend all lawful and legitimate rights and privileges of persons engaged in the business of Motor Transport of Trade.

- (h) to take up, consider, discuss and push forward the viewpoint of motor transport trade on any question generally affecting the trade by organising, promoting, attending conferences, organisations, demonstrations, lectures or other useful functions.
- (i) to carry on propaganda in the press by contributing articles or advertising by cinema slides, posters or hand bills to popularise motor transport and to publish official organs if deemed necessary for the purpose.
- (j) to (l) xx xx
- (m) to affiliate such other Unions or Associations, Companies or Corporations whose aims and objects are identical to those of the Congress, or to amalgamate with any such institutions.”

3. As per the Articles of Association, the office-bearers of the appellant include the President, Executive President, Vice Presidents and Manager/Secretary General. The business of the appellant is conducted through a Managing Committee, which consists of not less than 15 and not more than 121 members including those who are elected or co-opted by the Committee.

4. In furtherance of its objects, the appellant has, from time to time, protested against the hike in diesel prices on the ground that it increases the cost of operations and adversely impact the business of its members and their customers. On 13.09.2012, the Government of India announced

hike in the diesel price by Rs.5/- per litre. On the next day, Shri Kultaran Singh Atwal (Vice President of the appellant) convened a press conference in Delhi on 14.09.2012 to express resentment against the decision of the Government. The former President and Spokesperson of the appellant, Shri G.P. Singh was also present in the press conference. At the end of the press conference, a joint press release was issued, which reads as under :

“ALL INDIA MOTOR TRANSPORT CONGRESS
THE APEX ORGANISATION OF MOTOR TRANSPORT OPERATORS AFFILIATING STATE/REGIONAL ASSOCIATIONS

Official Journal “motor transport”

PRESS RELEASE

September 14, 2012

The Chief Bureau
 Print & Electronic Media

The 13 / 9 is the black day for the road transport sector and the COMMON MAN of India. Disregarding all plausible alternatives, the Government has triggered the tsunami of inflation by going ahead with its decision of steep hike of Rs.5/litre of diesel. Its imminent fallout is too strong to contain and we seek help from our friends from Print & Electronic media to highlight the correct picture to the nation as the going is getting tough again.

The truckers, transporters community and the people engaged in this sector are an inalienable part of the “AAM AADMI” community and are living on the edge.

The road transport sector expresses its pain and resentment at the decision of the Central government to affect a sharp increase in diesel price. The government's

decision will have the greatest dampening effect on the economy apart from spirally increasing the all round inflation. There is heightened concern over the deteriorating condition of the transporters coupled with double whammy of Corruption and Taxation that are impinging on their very survival.

Diesel prices in India are out of sync with the paying capacity of the common man and the new decision would send inflation, already touching double digits, spiralling out of control. The imminent increase in diesel price will only aggravate the situation. The decision would not only unleash uncontrollable inflationary forces, resulting in an all-round and back-breaking hike in the prices of all essential commodities particularly food costs, household essentials and travel bills of office employees and self, the move would seriously retard the already slack pace of economic growth. The road transport fraternity strongly condemns and deplores the current stand taken by Government and demand it to be reversed in the interest of Common Man of India.

The road transport industry will not be able to absorb imminent hike in Diesel prices and suggests that the Central & State Governments should reduce the Excise, Custom Duty & VAT on diesel, which constitutes around 50% of the diesel cost.

We have time and again demanded that there should be Uniform diesel price across the country. Because of the differential pricing in different states there is wide variance in prices of diesel that also impacts our transportation operations.

The Government of Goa has made a prudent decision to adjust its taxes in the interest of AAM AADMI and we request the state governments to not only emulate the example set by Goa Government but the Central Government should also adjust custom & excise duties in light of fluctuating international crude prices.

We, therefore, appeal to the members of the country's print & electronic media to support the just cause of Road Transport fraternity also, which is adversely affected by the retrograde policies that ultimately leads to increase of hardships of the Common Man, while all blame is put on the industry.

The current hike of 12% by the government and its claim to bring its budget deficit under control and win back the trust of foreign investors is misplaced. The hike has been affected at the cost of the Common Man. The fiscal deficit could be controlled by alternative means and containing scams that run into lacs of crores of rupees, which could well compensate that deficit. Perhaps the Government's

principle role of public welfare has eroded and is leading to more corporatization.

We are sure that our trade will not be able to absorb the cumulative effect of all these decisions and it may lead to some strong reaction which may be unwarranted for all the segments of the Society, Trade, Commerce and Industry. The road transport fraternity of India is not at all happy or will lie low if the steep hike of diesel prices is pushed through. An emergent managing committee meeting is being convened at Mumbai on Tuesday 18/09 to take a decision on future course of action which may lead to indefinite suspension of transport operations pan India.

Kultaran Singh Atwal
Vice President – AIMTC

Gurinder Pal Singh
Former President &
Spokesperson-AIMTC”

[Emphasis supplied]

5. Shri Bal Malkit Singh, then President of the appellant, who was not present in the press conference held in Delhi, responded to the media calls from his office in Mumbai and also issued a press release dated 18.09.2012, which is reproduced below :

“ALL INDIA MOTOR TRANSPORT CONGRESS

THE APEX ORGANISATION OF MOTOR TRANSPORT OPERATORS AFFILIATING STATE/REGIONAL ASSOCIATIONS

Official Journal “motor transport”

Press Release

September 18, 2012

The Chief Bureau

Print & Electronic Media

The 13/ 9, the black day for the COMMON MAN and the road transport sector of India. Disregarding all plausible alternatives, the Government has triggered the tsunami of inflation by going ahead with its decision of steep hike of more than Rs.5/litre of diesel. Its imminent fallout is too strong to contain and we seek help from our friends from Print & Electronic media to highlight the correct picture to the nation as the going is getting tough again.

The diesel hike has already shot up the operations cost of the transport sector, which is already reeling under the ever increasing prices of Toll, Tyres, Party Insurance premium, Spare parts & Lubes, Establishment cost not to mention the extortion of fleecing of money en route by the corrupt officials. They find it very hard to carry on their business.

70% of the trucking population constitute single trucker owners and more than 85% constitute the truckers, transporters community and the people engaged in this sector like helpers, labours, mechanics etc. who all are an inalienable part of the "AAM AADMI" community and are living on the edge.

The government's decision will have the greatest dampening effect on the economy apart from spirally increasing the all round inflation. There is heightened

concern over the deteriorating condition of the transporters coupled with double whammy of Corruption and Taxation that are impinging on their very survival.

The current hike of 12-14% in diesel prices by the government, its claim to bring its budget deficit under control and win back the trust of foreign investors is misplaced. The hike has been affected at the cost of the Common Man. The fiscal deficit could be controlled by alternative means and containing scams that run into lacs of crores of rupees, which could well compensate that deficit. It gives away money be it Rs.1.86 crore in the Coalgate Scam, Rs.1.76 lakh crore in the 2G scam and Rs.70,000 crore in the Common-Wealth Game scam, leave alone the small ones, and recovers the losses and fix treasury in this way. These definitely could change the dynamics of India's economy. Perhaps the Government's principle role of public welfare has eroded and is leading to more corporatization & welfare of self when public money is squandered in such extent. Subsidy given to public is just a fraction of Black money in foreign banks. Why govt. did not show courage to act against Black Money. It is not surprising at all that Government have lost sensitivity to the hardships of the common people.

The road transport industry will not be able to absorb imminent hike in Diesel prices and suggests that the Central & State Governments should reduce the Excise,

Custom Duty & VAT on diesel, which constitutes around 50% of the diesel cost.

The Government of Goa has made a prudent decision to adjust its taxes in the interest of AAM AADMI and we request the state governments to not only emulate the example set by Goa Government but the Central Government should also adjust custom & excise duties in light of fluctuating international crude prices.

We have time and again demanded that there should be Uniform diesel price across the country. Because of the differential pricing in different states there is wide variance in prices of diesel that also impacts our transportation operations. A correction in diesel price across the country should be made & the price of diesel should not differ from State to State, for example Delhi diesel price compare to Karnataka diesel price has a difference of Rs.6. The transporters are the worst affected by the differential pricing in different states as the vehicles travel through-out the country and at times they have to fill the tanks at a higher price of diesel than what they have quoted to their clients in their home states.

We, therefore, appeal to the members of country's print & electronic media to support the just cause of Road Transport fraternity also, which is adversely affected by the retrograde policies that ultimately leads to increase of

hardships of the Common Man, while all blame is put on the industry.

The decision has already unleashed uncontrollable inflationary forces, resulting in an all-round and back-breaking hike in the prices of all essential commodities particularly food costs, household essentials and travel bills of office employees and self. The move would seriously retard the already slack pace of economic growth. The road transport fraternity strongly condemns and deplores the current stand taken by Government and demand it to be Reversed or Central & State Taxes be reduced in the interest of Common Man of India.

All India Motor Transport Congress, the mother body of the road transport fraternity of India, has therefore decided at its Emergent Meeting held at Mumbai to go for one day suspension of operations pan India from midnight of September 19, 2012 so as to mark its protest. We allow the government 30 days window period to roll back the diesel hike and to redo the wrongs done to the Common man and our sector.

AIMTC Managing Committee will meet again in 20 days time to assess the Government response and would take a call suitably.

Bal Malkit Singh
President
All India Motor Transport Congress"

[Emphasis supplied]

6. The print media published news in the context of the press statements issued on 14.09.2012 and 18.09.2012 and the interviews given by Shri BalMalkit Singh and Shri Gurinder Pal Singh with misleading headlines and distorted version of their statements. Some of the reports suggested that the freights have been hiked by 15%. One newspaper reported that the truck freight rate has been hiked by 18%.Another newspaper reported that as per the appellant, diesel prices in India are out of sync with the paying capacity of the common man. One paper suggested that the truckers bodies had threatened to launch indefinite strike and the other mentioned that the truckers will protest tomorrow against hike in diesel price. The headlines of the news published in The ECONOMIC TIMES, IBN Live, The Indian Express, BUSINESSWORLD, ACG||Autobel Consulting Group, TransREporter, The Financial Express are reproduced below in a tabular form:

NEWSPAPERS/WEBSITES	NEWS HEADLINES
The ECONOMIC TIMES	Diesel price hike to push freight charges by 15 pc : AIMTC
IBNLive :	IBN Live : Diesel price hike to push freight charges by 15 pc : AIMTC.
The Indian EXPRESS	Truck freight charges hiked 15% : AIMTC
BW BUSINESSWORLD	Truck Freight Charges Hiked 15% Across India : AIMTC
ACG Autobel Consulting Group	AIMTC : Diesel prices in India are out of sync with the paying capacity of the common man.
Trans REporter	Diesel hike after effects : Truck cargo rates hiked by 15% across India.
Trans REporter	Himachal truckers raise freight charges.
Trans REporter	Truckers body threatens to launch indefinite strike.
The Indian EXPRESS	Truckers' strike to protest diesel price hike

	tomorrow.
THE FINANCIAL EXPRESS	Freight rate hike triggers demand for Compat intervention.
Trans REporter	Truck freight rate hiked by 18%.
Trans REporter	Kochiites don't worry as lorries take a break.

7. Respondent No. 1, Indian Foundation of Transport Research and Training, which claims to be a registered society working in the field of road transport, automotive sector and trucking industry for over a decade and assisting the Government and other agencies to have efficient, cost effective, safe and environment-friendly road transport system in the country, filed an information under Section 19(1)(a) with the allegation that the appellant had uniformly increased freight rates by 15% across the country with effect from 14.09.2012 on account of hike in diesel price by Rs.5/- per litre enforced by the public sector oil companies with effect from 13.09.2012 and this action of the appellant was violative of the provisions of the Act. Respondent No. 1 also relied upon order dated 31.08.2006 passed by the Monopolies and Restrictive Trade Practices Commission in RTPE 03/2000 and order dated 10.05.2011 passed by the Tribunal in Contempt No. 04/2009 in RTPE 03/2000 in support of the allegation that the appellant had indulged in anti-competitive practice.

8. The Commission considered the allegations contained in the information filed by Respondent No. 1 and passed order dated 10.01.2013 under Section 26(1) of the Act whereby the Director General was directed to conduct an investigation into the matter.

9. The Joint Director General (Jt. DG), to whom the case appears to have been entrusted by the DG, issued notice dated 29.01.2013 to the appellant

under Section 36(2) read with Section 41(2) of the Act and called upon it to furnish nine documents in the backdrop of the allegations made by Respondent No.1. For the sake of reference, the notice is reproduced below :

“Whereas the Competition Commission of India vide its order dated 10.01.2013 has directed this office under section 26(1) of the Competition Act, 2002 to conduct investigation into the complaint filed by M/s. Indian Foundation of Transport Research and Training about the alleged contravention by your organisation of the provisions of section 3(1) read with section 3(3) of the Act.

And whereas your organisation is the opposite party in this case, it is alleged by the informant that :

- (i) you have decided to uniformly increase the truck freight by 15% w.e.f. 14/9/2012 across the country on account of diesel price hike of Rs. 5/- per liter enforced by Public Sector Oil Companies w.e.f. 13/9/2012. It is alleged that this is violative of the provisions of the Competition Act which protects free and fair play of market forces.
- (ii) The decisions taken by the association to determine sale price of services in the relevant market is in violation of provision 3(3)(a) of the Act. It has also been alleged that you have acted in a manner ignoring the actual effect of the diesel price hike.

- (iii) It has also been alleged that despite previous orders of cease and desist issued by MRTPC and COMPAT, you have again violated the law by committing the same Act.

You are therefore, directed to furnish information/documents and submission against each of the allegations made by the informant under the provision of section 36(2) read with section 41(2) of the Competition Act, 2002. A copy of the order under section 26(1) dated 10.01.2013 is enclosed to enable you to reply on the allegations.

In addition to the above you are also required to furnish the following documents/details :

- i) A copy of each of the relevant Acts and regulations/notifications etc. pertaining to transport activities.
- ii) A copy of the memorandum of association and byelaws related to the formation of AIMTC.
- iii) Details of members of the association (Name/Address/Contact Number etc.)
- iv) Notifications issued by AIMTC in last two years.
- v) Name and addresses of Associations, if any, in the business of transport other than the AIMTC.

- vi) A copy of the minutes of all the meetings held by AIMTC in last two years.
- vii) A copy of all agreements made between AIMTC and its Members in last two years.
- viii) Increase/Decrease in diesel prices in last two years.
- ix) Corresponding increase/decrease in freight subsequent to such hike in price.”

10. The appellant sent reply dated 16.02.2013 and denied the allegation that it had taken any decision to increase the truck freight by 15% with effect from 14.09.2012 or issued any directive in that regard or acted in violation of Section 3(3)(a) of the Act. The stand taken by the appellant is evident from paragraphs 2 to 4 of the reply, which are reproduced below :

- “2. We are appalled at the cognisance taken by your august office on the complaint by M/s. Indian Foundation of Transport Research and Training, which is a non grata of the trade and had been working to malign the industry. The current complaint to your good office is nothing but to catch media attention for its publicity.
- 3. With regard to the subject issue we wish to submit following facts for your kind consideration :-
 - All India Motor Transport Congress is an apex body of truckers, transporters, bus operators, tourist taxi

and maxi cab operators. It was established in 1936 at Lahore and post partition it is running from its office at New Delhi. It is a non profitable organization and works for the welfare of more than 12 crore people associated with this sector.

- The complaint against this apex body is misplaced, concocted made with mala fide intentions and vendetta. The informant's claims are manipulated and targeted to malign this mother body of truckers and transporters.
- It will be appreciated by your goodself that the road transport sector is highly unorganized and fragmented. 85% of the trucking populations are the single and two truck owners who are either attached to some organisation or work independently on load availability.
- The ecosystem of the transport sector is highly unorganized and competitive in nature. The truck rental depends on pure market forces as during seasonal time when demand is up the truck rental increase and in lean times truck rental decreases.
- Diesel is the highest input cost in the operations of trucks. It accounts for about 45% - 50% of the operating costs. Any increase in diesel price surely impacts the operating cost, which includes increase in cost of other components like Tyres, Spare parts, lubricants, en route expenses. The price of these

components also increases due to increase in price of diesel.

- As such, when persistently asked by media personnel on the likely impact of steep hike in diesel price of Rs. 5 + taxes, it was estimated that cost of operations will get impacted by 12% to 15%. But since the trade is governed by market forces, the rental during that period increased marginally by 3% - 4%. This could be confirmed by statements by the Informant's statements in the Press media itself.

4. It is further clarified that :-

- a) The truck rentals are not at all dictated / controlled by AIMTC.
- b) No where in our Press releases, circulars, we mentioned or exhorted the members to increase the rental. It is only the likely impact on the operating cost that was mentioned on persistent persuasion of the media that time.
- c) The truck rentals are governed by market forces and we do not have any role to play. On the contrary it has been our long standing demand from the government to give us industry status, this sector being the vital sector of the economy, and fix minimum freight rates.
- d) Railways, Airways, Shipping rates, Diesel, Tyre prices, Third party premium etc. revised every now

and then as these sectors enhance their rates depending on the profitability scenario. The road transport sector is perhaps the only sector that bears the brunt of rising diesel / tyre / insurance/ spare parts etc. prices and they cannot increase the rentals because of market compulsions.

e) As mentioned earlier, they are forced to operate under negative margins as most of the vehicles are on hypothecation and the owner drivers have to keep the wheels running to meet the monthly instalments of the vehicle and feed their family with daily bread and butter.

They are forced to run their vehicles at a loss in lean season in the hope of squaring off the losses in times of high demand in the market.

We humbly submit once again that AIMTC is a representative body of road transport sector in India and takes up issues adversely affecting the trade with our nodal Ministry i.e. Ministry of Road Transport & Highways. Apart from this it interacts with other Central and State Ministries, Departments to sort out problems of the trade. It is actively involved with welfare activities like road safety awareness HIV-AIDS awareness, Health Check up camps, Drivers Refresher Training etc.

We are enclosing as Appendix the available documents along with copies of Press Releases and copies of news appearing in media clarifying our stances with respect to the subject.”

[Emphasis supplied]

11. In the meanwhile, the Jt. DG issued notices under Section 36(2) read with Section 41(2) of the Act to four other associations based in Delhi and Mumbai and seven transport companies on 08.02.2013. He specifically asked the transport companies whether they were members of the appellant or any other association and whether any directions were issued by the association about the increase/ decrease in freight subsequent to the corresponding increase/ decrease in diesel prices in last two years and also whether such directions were binding. For the sake of reference, the notices issued to All India Confederation of Goods Vehicle Owner's Association and Jaipur Golden Transport Company Pvt. Ltd. are reproduced below :

“Notice dated 08.02.2013 issued to All India Confederation of Goods Vehicle Owner's Association

- (i) A copy of memorandum of association and byelaws related to the formation of Maharashtra Tank Lorry Owners' Association (Reg.).
- (ii) Details of members of the association (Name/Address/Contact Number etc.)
- (iii) Whether your association is a member of the All India Motor Transport Congress (AIMTC) or any other Federation ? If yes, please furnish a copy of all

agreements made between the Federation and your Association in last two years.

- (iv) Whether any directions were issued by your office to the members of your association about increase/ decrease in freight subsequent to corresponding increase / decrease in diesel prices in the last two years ?
- (v) How do the association ensure the compliance of the directions given to the members ?
- (vi) Is any action taken against the members for not following the order /direction of the association ?
- (vii) Is any litigation pending against your association or any order passed by any competent court/authority in regard to controlling the freight for goods and passenger transport ?
- (viii) Increase in Freight (Subsequent to hike in diesel price) in respect of the following Trunk Routes :-

Trunk Route										
	January 2011		June 2011		November 2011		April 2012		September 2012	
	Before	After	Before	After	Before	After	Before	After	Before	After
Delhi-Mumbai-Delhi										
Delhi-Kolkata-Delhi										
Delhi-Hyderabad-Delhi										
Delhi -Chennai-Delhi										
Delhi-Bangalore-Delhi										
Delhi-Raipur-Delhi										
Delhi-Nagpur-Delhi										
Delhi-Ranchi-Delhi										
Delhi-Kandla-Delhi										
Delhi-Guwahati-Delhi										

Notice dated 08.02.2013 issued to Jaipur Golden Transport Company Pvt. Ltd.

- (i) Whether your Company is a member of the All India Motor Transport Congress (AIMTC) or any other Association ? If yes, please furnish a copy of bylaws of the Membership and Notifications received from AIMTC or any other association in the last two years.
- (ii) Whether any directions were issued to you by the association with whom you are associated about increase / decrease in freight subsequent to corresponding increase / decrease in diesel prices in the last two years ?
- (iii) Is the direction/order of the association binding on you? How does the association ensure the compliance of the directions given to the members?
- (iv) Is any action taken against you for not following the order / direction of the association ?
- (v) Is any litigation pending against your association or any order passed by any competent court/authority in regard to controlling the freight for goods and passenger transport ?
- (vi) Increase in Freight (Subsequent to hike in diesel price) in respect of the following Trunk Routes :-

Trunk Route										
	January 2011		June 2011		November 2011		April 2012		September 2012	
	Before	After	Before	After	Before	After	Before	After	Before	After
Delhi-Mumbai-Delhi										
Delhi-Kolkata-Delhi										
Delhi-Hyderabad-										

Delhi					
Delhi –Chennai- Delhi					
Delhi-Bangalore- Delhi					
Delhi-Raipur-Delhi					
Delhi-Nagpur-Delhi					
Delhi-Ranchi-Delhi					
Delhi-Kandla-Delhi					
Delhi-Guwahati- Delhi					
Any Trunk route you would like to mention					

(vii) Please specify the method to calculate the increase/decrease in the Freight subsequent to corresponding changes in the diesel price.”

12. Both All India Confederation of Goods Vehicle Owner’s Association and Jaipur Golden Transport Company Pvt. Ltd. filed their respective replies. The Association categorically denied that it had issued any direction to the members about increase/ decrease in freight subsequent to corresponding increase/ decrease in diesel prices in the last two years. Jaipur Golden Transport Company Pvt. Ltd. denied that any direction was issued by the appellant for increase or decrease of the freight. All the transport companies specifically denied that any directive was given by the appellant to increase the truck freight.

13. After receiving the appellant’s reply, the Jt. DG issued notices to 232 transport companies under Section 36(2) read with Section 41(2) of the Act, which were similar to the notices issued to seven transport companies including Jaipur Golden Transport Company Pvt. Ltd. Initially, 34 of the noticees sent their replies. When reminders were issued by the Jt. DG, 21 more transport companies sent their replies. Since the queries incorporated in the notices issued by the Jt. DG were identical, the replies given by the

55 noticees were substantially similar. Five of them stated that they were not members of the appellant. M/s. AkshayRoadlines also stated that it was not a member of any Association. Some others gave out that their business had been closed. The remaining transporters denied the receipt of any directive from the appellant. One of them, namely, GhatgePatil Transporters Limited stated that normally the companies were expected to follow the directions but the same were not statutory. Some other stated that the directives are not binding. All this is evident from the gist of the replies of 54 transport companies, which was incorporated in the investigation report in the form of following table :

S.N.	Name of Transporter	Gist of Reply		
		Directions received from AIMTC about increase in freight subsequent to hike in Diesel Price	Whether direction binding upon members	Action taken for non-compliance/litigation pending
1.	Southern Travels Pvt. Ltd.	Not a member	-	-
2.	M/s. AkshayRoadlines	Not associated with any Association	-	-
3.	Tulsa Motor Transport	No	No	No/not aware
4.	Shah Bulk Carrier	No	No	No/not aware
5.	Ganga Jamna Carriers	No	No	No/not aware
6.	Special Mover	No	No	No/not aware
7.	Rai Bus Service	No	No	No/not aware

8.	Shree Hanuman Tourist Corpn.	No	No	No/not aware
9.	GhatgePatil Transports Limited	No	Normally we are expected to follow the directions but has no statutory nature.	No/not aware
10.	New Gupta Transport Agency, Meerut	Not known	Not known	No/not aware
11.	KaveriRoadline s	No	No	No/not aware
12.	Ansh Freight Carriers	No	No	No/not aware
13.	Shiv Forwarding Agency	No	Not known	No/not aware
14.	Jay Mataji Transport Co.	Business closed down	NA	NA
15.	Transport Corporation of India Ltd.	No	No	No/not aware
16.	Haresh N. Lathiya	No business in my name	NA	NA
17.	Seaking Shipping & Container Transport Co. Pvt. Ltd.	No	Do not follow the orders unless it is in public interest	No/not aware
18.	Sunny Travels	No	No	No/not aware
19.	Sehgal Tourist	In the business of operating tourist buses	Not applicable	Not applicable

20.	Bhagwati Transport Service	Firm Closed	NA	NA
21.	Jai Bhagwati Transport Service (Regd.)	No	No	No/not aware
22.	Vishal Goods Transport Co.	No	No	No/not aware
23.	Sikkim Road Carriers	No	No	No/ Not aware
24.	Jaipur Golden Transport Co. Pvt. Ltd.	No	No	No/ not aware
25.	Omkara Transport Pvt. Ltd.	No	No	No/not aware
26.	Anand Transport Pvt. Ltd.	Not a member	NA	NA
27.	Bombay Andhra Roadways (P) Ltd.	Not a Member	NA	NA
28.	Sehgal Tourist	No	No	No/ not aware
29.	C. NarshiRoadlines	No	No	No/ not aware
30.	Southern Travels	Not a Member	NA	NA
31.	VikasRoadlines	Under long term contract with IOCL and provision for adjustment in price with hike in diesel price. Never pressurised by AIMTC on any issue.		
32.	Dhingra Travels	No	No	No/ Not aware
33.	Datia Gas Service	Under long term contract with IOCL.	No	No/ Not aware

34.	Brijmohan Agarwal	Firm closed.	NA	NA
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35.	D. Ramadan	Business closed	NA	NA
36.	Flying Golden Carriers	No	No	No/ Not aware
37.	Jai Bhagwati Transport Service	No	No	No/ Not aware
38.	Rajasthan Golden Transport Co. (P) Ltd.	No	No	No/Not aware
39.	Ashutosh Transport Company	No	No	No/Not aware
40.	Asian Logistics Ltd.	No	No	No/not aware
41.	Delhi U.P. Road Carriers	No	Replied as not applicable	Replies as not applicable
42.	Lovey Gandhi Huf	No	Replied as not applicable	Replies as not applicable
43.	Special Mover	No	No	No/not aware
44.	Best Roadways Ltd.	No	No	No/ Not aware
45.	Vasant Transport Service	No	No	No/ Not aware
46.	Goodwill Transport Co.	No	No	No
47.	Anuj Roadways	No	No	No/ Not aware
48.	Vasant Transport Company	No	No	No/ Not aware
49.	Raj Kamal Transport Co.	No	No	No/ Not aware

50.	Jain Carriers	No	No	No/ Not aware
51.	Sachdeva Transport Co.	No	No	Not replied on this issue.
52.	Delhi Goods Transport Association	No	No	No parameters to check the compliance/ Not replied on this issue.
53.	Bombay Goods Transport Association	No	No	No
54.	The Garhwal Motor Owner's Union Ltd.	Directions issued is implemented in the company.	Replied as not applicable	Replied as not applicable.

14. The Jt. DG sent communication dated 24.07.2013 to Respondent No.1 incorporating the substance of the appellant's reply and asked it to provide additional information, which may help in rebutting the submission of the opposite party. The relevant portions of that letter are extracted below :

“Please refer to the information provided vide your letter dated 21.09.2012 in the Case No.61/2012 against the AIMTC. During the course of investigation, it is submitted by AIMTC that

- (i) Nowhere in our press release, circulars, we mentioned or exhorted the Members to increase the rental.
- (ii) It is only the likely impact on the operating cost that was mentioned on persistent persuasion of the media at that time.

- (iii) As such, when persistently asked by media personnel on the likely impact of steep hike in diesel prices of Rs.5+ taxes, it is estimated that cost of operations will get impacted by 12% to 15%.

In this regard, you are hereby requested to provide this office any additional information, you have in your possession which will be useful to carry on the investigation further and rebut the submission of the opposite party. As it is stated by AIMTC that such statement before media was on persistent persuasion, you are required to provide following documents :-

- (a) Any evidence of meeting/ discussion held by AIMTC and its members before making such statement to media on 14.09.2012 regarding price hike.
- (b) Any evidence of increase in the rate of truck rentals in different parts of the Country subsequent to such statement in media. Whether such increase in prices/ truck rentals sustained in the relevant market?
- (c) Whether any research is available with you regarding increase/ decrease in truck rentals subsequent to every such hike in diesel prices made

by the government. Please refer to your research material in public domain in this regard.”

15. Respondent No.1 did not furnish any additional information, but reiterated the allegations made in the information and prayed that the appellant should be subjected to maximum penalty. This is evident from the following extracts of reply dated 05.08.2013 :

“We are in receipt of your letter with above reference in relation to information provided vide our letter date 21.9.2012 in case no.61/2012 against the AIMTC, you have referred about the submission made by M/s. AIMTC and sought our response thereupon:

2. Your reference to point No.(i), (ii) & (iii) of your letter referring AIMTC views that AIMTC nowhere exhorted its members to increase the rental through press release/ circulars and has only responded to the persuasion of media of likely impact on operating cost of steep hike in diesel price of Rs.5+ taxes and has estimated the same by 12% to 15%.

IFTRT Response: It may be recalled that AIMTC in past has been indicted by MRTPC on the similar subject of diesel price hike and increase in truck rental/ freight and MRTPC passed 'cease and desist' order against AIMTC and AIMTC was directed to

withdraw its Circular issued to its members. Later, COMPAT in year April 2011 has inflicted cash penalty and AIMTC has rendered an apology before the Appellate Tribunal for committing contempt of Court by repeating the offence as AIMTC had been asked his members to jack up truck rentals in response to the steep diesel price hike. The IFTRT has duly submitted and stated these details in its petition before the Hon'ble Competition Commission of India (CCI), which is the basis of this investigation. Therefore, in response to diesel price hike of Rs.5 per lt. announced by Oil Marketing Companies (OMCs) on 13th September 2012, the AIMTC made a press announcement on 14th September 2012 that they have increase the truck rentals/ truck freight by 15%. The Press Trust of India (PTI), leading most news agency in India, carried this statement and at nowhere in the news item it has stated that AIMTC spokesperson was responding to media personnel query on the likely impact of steep hike in diesel price. Same was carried by TV media on 14.9.2012 and subsequently across the country by number of news papers on 15.9.2012. Nowhere, media has mentioned that AIMTC was responding to their persistent persuasions rather the truck rental hike decision was unilaterally made by AIMTC on 14.9.2012. The

AIMTC having committed before the MRTPC and COMPAT on two different occasions and rendered apology for its act of omission and commission has deliberately avoided to issue an Circular so that it can hoodwink the anti competition authority like CCI on this matter. Therefore, cleverly AIMTC used a new modus operandi to announce through print/ electronic media that it has increased the truck rentals by 15% after the Rs.5 per lit. increase in the diesel price announced by OMCs on 13.9.2012.

3. The AIMTC has always claimed that it is an umbrella organization of road transporters in the country controlling/ representing 75 lakh commercial vehicles and 2.5 lakh road transporters/ firms and it is a 70 year old Apex body of commercial road transport in the country. Thus, due to its intensive control and representative character, AIMTC, is able to impact the increase in truck rentals and on the increase in diesel price in last 15 years, the AIMTC has indulged into several nationwide strikes by paralyzing the economy as trucks have been off the road and transport firms had stopped booking and delivery of the cargo in the country. The consignors and the government remained feared of this brute strength of AIMTC and its announcements/ decisions have been having

direct impact on the transport cost and subsequently impacted the common man and the economy as well. Therefore, it reiterated that AIMTC made a Suo Moto announcement in the press on 14.9.2012 vide news agency – PTI – and electronic media – TV news channel that AIMTC has increased the truck rentals/ freight by 15% with immediate effect and same was carried in the news papers on 15.9.2012 and nowhere they were persuaded to respond like this. Moreover, non-issuance of written statement/ circular was a very well calculated move to avoid any action like the one already taken against them by MRTPC and COMPAT. The CCI admitted our complaint/ information taking into account our argument that AIMTC with the vast network of members has developed an ecosystem over the last 7 decades to have its decisions affected by its members. Thus, the AIMTC is making a misleading explanation to your office as against the facts and stated by us in our complaint and accompanying enclosures such as copy of the PTI news agency report dated 14.9.2012.

Conclusions : This is an 'Open and Shut Case' of contravening the provisions of Competition Act and AIMTC is required to be penalized to the maximum accordingly. In light of above explanation, the IFTRT

does not think it appropriate to respond to the queries raised by your office in letter dated 24 July 2013 in point no.2 with sub points (a), (b) & (c). It is because the stance/ position taken by AIMTC on 14.9.2012 by their own confession before the print/ electronic media is absolutely and unambiguously clear that they have stated to have increased the truck rentals by 15% on account of Rs.5 increase in diesel price hike on 13.9.2012. The AIMTC subsequently for several weeks/ months has not refuted the news items on the subject. Thus, the position stated by AIMTC to Director General – Investigation CCI, as briefly stated in your letter dated 24 July 2003 to IFTRT, is not tenable and is also not true.”

16. The Jt. DG also issued summons to the President of the appellant Shri BalMalkit Singh, Vice-President, Shri Kultaran Singh and the Spokesperson, Shri Gurinder Pal Singh and recorded their statements.

17. After completing the investigation, the Jt. DG, who appears to have been promoted as Addl. DG by that time, submitted report dated 11.12.2013 with the conclusions that there was meeting of mind among members of the Association to fix the price subsequent to hike in diesel prices; that the statements made by the President/Spokesperson of the appellant in press amounts to a direction/message conveying the decision of the Executive body to all its members; that the alleged announcement in

public to increase the freight charges subsequent to hike in diesel price had a major role in determining the price of truck rental indirectly and this act of the appellant is violative of Section 3(3)(a) of the Act and that the appellant had acted in a cartel like manner by asking its members to effect 15% increase in the freight charges across the country ignoring the actual effect of the diesel price hike and as such, it has contravened Section 3(3)(a) of the Act.

18. The investigation report submitted by the Addl. DG is divided into 5 chapters. The first chapter makes a reference to the information filed by Respondent No. 1 and order dated 10.01.2013 passed by the Commission under Section 26(1) of the Act. Paragraph 1.5 of that report, which has some bearing on the decision of this case, reads as under :

“1.5 The Commission vide its order under Section 26(1) dated 10.01.2013 observed as ‘The diktat issued by an association to its members to raise the price of services by certain percentage is prima facie covered under Section 3(1) read with section 3(3) of the competition Act” and opined that there exists a prima facie case of anti-competitive practice.”

In Chapter-2, the Addl. DG referred to the allegations contained in the information filed by Respondent No. 1. In Chapter-3, he dealt with the nature of trucking industry in India. In Chapter-4, he referred to the notices issued under Section 36(2) read with Section 41(2) to the appellant, the transporters and transport associations, summarised the replies given

by 54 associations in a tabular form (Table-1, which has been extracted in the earlier part of this order) and then recorded the following observations :

“4.15 From the above, it is evident that almost all the

Members of the OP have replied as :

- (a) No directions were issued by AIMTC about increase/ decrease in freight subsequent to corresponding increase/ decrease in diesel prices.
- (b) Circulars/ suggestions issued by AIMTC are not binding on the Members.
- (c) OP cannot take any action against any Member for not following the circular as these are only a suggestion and not an order or direction.

4.16 On cursory look replies appeared to be identical to each other. Therefore, content of the replies have been further examined to look into the aspects of probability of their meeting before replying to the queries of this office. Two responses were received from M/s. Tulsa Motor Transport. First letter appears to be draft as it starts with “Draft response for CCI Notice”. Proper reply was also annexed with the “draft response”. On examination of the stamp fixed over the envelope, it is found that the said letter is posted to this office on 16.04.2013. All other replies were examined with respect to the content of the letter of M/s. Tulsa Transport and the fact that a draft response was prepared first by M/s. Tulsa Transport which in all probability has been circulated amongst other Members of the Association before replying to this office.

Letter received from Tulsa Motor Transport is as below :

“Sub : Reply to notice issued under Section 36(2) read with Section 41(2) of the Competition Act, 2002.

Respected Sir,

This is with reference to your notice issued vide F.No.DG/ CCI/ IW/0/24/2012 dated 2nd April, 2013

First of all it is surprise to see the notice issued from your good office. We are the small transporter and running our business according to the law of land as well as complying the statutory provisions of law time being in force.

The Para wise reply of the above said notice is as follows :-

1) Our company is a life time member of All India Motor Transport Congress since 2011. As per our knowledge this is oldest transport association who is evolved in the betterment of the industry as well as raise the issues like road safety, road condition, day to day hurdles of business etc with Government of India as well as various Government authorities, just like FICCI or CII received from AIMTC by the undersigned in last two years are enclosed as Annexure-I.

2) As per our knowledge AIMTC is one of the welfare organizations. However no directions were issued by AIMTC about increase/decrease in freight subsequent to corresponding increase/ decrease in diesel prices in the last two years.

In all prudence any increase of diesel price impacts on the operation cost and other input cost also. But it is a

fact that our rentals are governed by forces of demand and supply at point of time. Some time we have to run our vehicles in loss just to sustain our business and needs of families in the hope of covering the loss when demand picks up.

- 3) The copies of circulars/ letters received from the association in last two years are enclosed in Annexure – li as desired.
- 4) The AIMTC do not issue directions/ orders however it issues the circular/ suggestion which are not binding on us. It is only a platform to unite together to safeguard the interest of trade as well as give suggestion to transport manufacturer of manufacture vehicles according to today's need/ requirement.
- 5) There is no action by the association against us or any members for not following the circular as its circular are only a suggestion and not an order or direction.
- 6) We are not aware of any such litigation pending or order passed by any competent court/ authority in regard to controlling the freight for goods and passenger transport.
- 7) The desired data of my company as per best of my knowledge of last two years is annexed as Annexure-III for your perusal.
- 8) The increase/ decrease of freight depend on the demand and supply forces. Any hike in input cost like diesel, tyre, insurance, spare parts, maintenance etc.

impacts the operations cost/budget. However this sector is highly unorganized and fragmented, forces of demand and supply decided the freight.

The above submission / facts are for your kind perusal."

Comparison of replies submitted by various transport companies

S. No.	Name and Location of the Transport Company/ firm & date of reply	Observation of the Reply submitted
1.	Tulsa Motor Transport Company, Pune. Reply dated 11.04.2013	As observed in the earlier paragraphs.
2.	Shah Bulk Carrier, Baroda. Reply dated 16.04.2013	The reply of the firm is imitation of the reply submitted by Tulsa Motor Transport
3.	Rai Bus Service, Datia, M.P. Reply dated 17.04.13	Reply is replica of the reply submitted by Tulsa Motor Transport
4.	Shree Hanuman Tourist Corporation, Delhi. Reply dated 17.04.2013	The reply of the Firm is imitation of the reply submitted by Tulsa Motor Transport
5.	New Gupta Goods Transport Agency, Meerut, U.P. Reply dated 19.4.13	The reply if the Firm is similar to the reply submitted by the Tulsa Motor Transport.
6.	Sunny Travels, New Delhi. Reply submitted on 24.4.13	Some part of the reply are similar to the reply of Tulsa Motor Transport. (Para 1, 2, 4, 5, 6 & 8).
7.	Jai Bhagwati Transport Service, Kanpur. Reply dated 21.04.2013	Reply is replica of the reply submitted by Tulas Motor Trasnport. Minor changes have been made in some column.
8.	Vishal Good Transport Co., Delhi	Reply is copy of the reply submitted by Tulsa Motor Transport Mover, except the column/ para where data is required. Small changes are seen in some column.
9.	Sikkim Road Carriers, Delhi. Reply dated 22.4.13	Reply is replica of the reply submitted by Tulsa Motor Transport. Only para 7 is different

10.	C. NarshiRoadlines, Ahemdabad. Reply dated 17.07.2013	Exactly same copy of the Tulsa Motor Transport. Even at language, word framing sentences etc. are similar.
11.	Rajasthan Golden Transport Co., Delhi-6. Reply dated 18.07.2013	Reply is replica of the reply submitted by Tulsa Motor Transport.
12.	Datia Gas Service, Datia, M.P. Reply received on 18.7.13	Reply submitted in para 1, 2 (part), 3, 4, 6 of the letter are same to the reply submitted by Tulsa Motor Transport.
13.	Asian Logistics Ltd., Ahemdabad. Reply dated 20.07.13.	Reply submitted in para 1, 2, 3, 4, 6 & 8 are same to the reply submitted by Tulsa Motor Transport.
14.	Vasant Transport Service, Rajkot. Reply dated 21.07.13	Reply submitted vide para 1, 2, 3, 4, 5, 6, & 8 are similar to the reply of Tulsa Motor Transport.
15.	Anuj Roadways, Ahemdabad, reply dated 22.7.13	Reply is replica of the reply submitted by Tulsa Motor Transport.
16.	Vasant Transport Company, Ahmedabad, reply dated 23.07.2013	Reply is identical of the reply submitted by Tulsa Motor Transport, Anuj Roadways & Vasant Transport Service, Rajkot.
17.	Raj Kamal Transport Co., U.P. Border, Ghaziabad. Reply received on 24.07.13	Reply submitted vide para 1, 2, 4, 5 & 7 are similar to the reply of Tulsa Motor Transport to others.
18.	Jain Carriers, Mumbai dated 02.08.2013.	Reply is identical (para 1 to 7) to the reply submitted by Tulsa Motor Transport.
19.	The Lakshmi Transport Carriers, Kanpur, UP. Reply dated 21.09.13	Para 1, 2, 6 & 8 of the reply are similar to the reply submitted by Tulsa Motor Transport.
20.	Special Mover, Mumbai. Reply dated 17.04.2013	Reply is replica of the reply submitted by Tulsa Motor Transport.

4.17 It is therefore seen that out of the Members of the Association replied to the queries of this office, 21 of them have replied in identical manner. Generally, there are 8 paragraphs in all the identical replies. Normally, only para 7 was found to be different in almost all identical replies. Reason for making the para 7 different is only because of the fact that

under this paragraph certain data were required to be furnished. In other words, even copying the identical content, members of the Association had applied their mind to make the changes to para 7 according to the nature of data required to be furnished.

4.18 Behaviour of members of Association can also be analysed with respect to their approach towards making compliance to the notices sent by this office u/s 36(2) of the Act. A comprehensive list of members of the Association was provided by the OP in its submission. Notice u/s 36(2) was sent to 232 members of the Association selecting every sixth member from the list provided. It was strange to find that only 34 members replied out of 232 letters sent on 2.4.2013. Providing reasonable opportunity to them, reminders were sent again to all the person who had not replied the notices issued to them. On this occasion i.e. after reminders dated 08.07.2013, only 21 replies were received.

4.19 It cannot be coincidence that such a large number of members of the Association have decided not to reply to notices. Like the way, they have chosen to reply in identical manner, member decided not to reply had also discussed the matter together and preferred to keep silent. To obtain information and

data relevant to know the implementation of increased prices, another opportunity was given to non-compliant members and further reminders were sent on 12.11.2013. A copy of the reminder is enclosed as Annex-14.

- 4.20 In view of the above discussion, it is certain that all of them have discussed the issue together before replying. It can also be concluded from the content of the letter that a format of reply has been prepared by one of the important member of the Association. Involvement of the OP or the members of the Executive Committee cannot be ruled out.”

[Emphasis supplied]

19. The Addl. DG then referred to the reply dated 05.08.2013 sent by Respondent No.1 and recorded the following observations :

- “4.25 It is agreed by AIMTC in its reply dated 16.2.2013 (para 3) “that when asked by media personnel on the likely impact of steep hike in diesel price of Rs. 5 + taxes, it was estimated that cost of operations will get impacted by 12% to 15%.”

- 4.26 It is denied by the OP that nowhere in the press release, circulars etc. the Association has mentioned or exhorted the members of the Association to increase the rental. It is only the likely impact on

the operating cost was mentioned in the media at that time.

4.27 In order to cooperate the facts stated by the OP, informant was asked to provide any additional information in his possession useful to carry on further investigation and rebut the submission of the Opposite Party. Informant was specifically asked to provide the evidence of meeting/discussion held by AIMTC and its members before making such statement to media on 14.09.2013 regarding price hike.

4.28 Informant was further asked to furnish evidence of increase in the rate of truck rentals in different parts of the Country subsequent to such statement in media. He was required to submit whether such increase in prices / truck rentals sustained in the relevant market ?

He was also requested to provide the research material available with him regarding increase/decrease in truck rentals subsequent to every such hike in diesel prices made by the Government with reference to the research material available in public domain (on the website of IFTRT especially) in this regard.

4.29 Reference to the reply of the Informant make amply clear that he has not provided any evidences or additional information as sought vide this office letter dated 24.07.2013. In his response he reiterated that in the case of the OP, MRTPC has passed "Cease and desist order" and there was a contempt order passed by COMPAT. Informant has emphasized the fact that after the incident of MRTPC and COMPAT order on two occasions, AIMTC has avoided to issue any circular in regard to increase in truck rentals.

4.30 In view of the facts discussed in the above paragraphs, it is seen that there has not been any circular issued by AIMTC directing its members to increase the truck rental to accommodate the hike in diesel price on 13.09.2012. So far, the only evidence with reference to the allegations made by the Informant is the statement made by President and Spokesperson of AIMTC before the media personnel."

[Emphasis supplied]

20. The Addl. DG then noted that Respondent No. 1 had produced press-cuttings of Business Bhaskar, Financial Express, Hindustan Times and Press Trust of India (PTI), which carried the headline 'the appellant had increased the freight charges across the country by 15%', referred to the

reports gathered from the websites of Indian Express, the Financial Express, IBN Live, the Economic Times, Business World and Trans Reporter (Transport daily) and selectively referred to the statements made by the President of the appellant, Shri Bal Malkit Singh and Spokesperson, Shri Gurinder Pal Singh to the media. He also referred to the statements made by the two persons in response to the summons issued under Section 36(2) and recorded an inference that both had conveyed that any hike in diesel price would result in increase of truck rental by 15%. This exercise is discernible from paragraphs 4.31 to 4.39 of the report, which are reproduced below :

“4.31 In support of the allegation, press cuttings of Business Bhaskar, Financial Express, Hindustan Times and PTI's news items quoting AIMTC that it has increased freight charges across the country by 15% following hike in diesel price were submitted by the Informant.

4.32 Report in the media between 14.09.2012 to 18.09.2012 were also gathered from the material available in the public domain on the web-site of major dailies such as Indian Express, the Financial Express, IBN Live, the Economic Times, Business World and Trans Reporter (Transport daily) etc. A copy of the print outs are enclosed as Annex-7 of the report.

4.33 On examination of the reporting in these dailies it is gathered that two persons i.e. Shri Bal Malkit Singh,

President of AIMTC and spokesperson of AIMTC Shri Gurinder Pal Singh has made statements before the media personnel.

Shri Bal Malkit Singh stated as below :

“The hike in diesel price has jacked up our cost of operations by almost 15 percent. It will be difficult for us to absorb and will pass on the hike to the customers”. It was also stated by him “we demand a roll back. We have decided to keep the trucks off the roads for one day as a mark of protest.”

Shri Gurinder Pal Singh statement before the media is as below :

“we have decided to pass on the burden of increase in diesel price hike to customers. The freight will be increased with immediate effect by 15% across India.”

4.34 Another significant thing noted from all the press reportings that all the press quoted the same statement ad verbatim which makes it abundantly clear that these statements were certainly given by these two persons in these words otherwise it would not have been possible for all the media houses to quote the same words in the next day edition of its newspaper.

4.35 In his statement recorded under section 36(2), Shri Bal Malkit Singh, President AIMTC was confronted with the above facts as below :

Q.7 Please go through the printout of the coverage of the news by Indian Express, the Financial Express, IBN Live, the Economic Times etc. (as posted on their respective websites between September 14th to 19th, 2012) given to you now and submit under what circumstances such statement was made before the media personnel.

A.7 I have been shown the press statements attributed to me in IBN Live, Economic Times and Indian Express dated 18.9.12. In this connection, I would like to submit that was the biggest hike in diesel price in the history and we had given a press release in our conference to the media which we have submitted. I was not present in the said press conference and my response to the diesel hike were given in response to telephone calls by different media persons from my office in Mumbai. I clarified to the media that as per my knowledge, in our conference we did not make any statement relating to the alleged hike of the freight although concerns on the effect of the diesel price hike on the operational cost of truckers throughout India were expressed. No directive of any type to our members regarding increase in freight was given and in this

connection, I requested to media personnel to refer to our press release given after the conference to PTI.

Q8. Please submit whether the statement show to you was told to the media personnel in exact words or not?

A.8 I do not remember the exact spoken to the media as it was a spontaneous response to their questions. However, I clearly remember that no threat or directive of any kind was given to the media.

Q.9 I would like to draw your attention that each media house has quoted the same words in their press reports. Please submit with reference to your answer at Question 8.

A.9 After seeing the press reports of the three sources mentioned earlier in Question no.7, I submit that I had stated that the diesel price hike is likely to jack up our cost of operations by almost 15% and it will be difficult to absorb the hike.

Q.10. Your attention is also drawn to the press release of Business World dated 14.09.2012, wherein one of the spokesperson of your Association, Shri G.P. Singh told PTI that “we have decided to pass on the burden of increase in diesel price hike to customers.

The freight charges will be increased with immediate effect by 15% across India.” Please submit.

A.10 I feel that Shri G.P. Singh was misquoted by the Press since it was contrary to the press release dated 14.09.2012 given by AIMTC which was signed by Shri G.P. Singh.

4.36 Shri Gurinder Pal Singh was also called for the statement recorded under Section 36(2) on 22.08.2013. Relevant excerpts of his statement recorded u/s 36(2) of the Act is as below :

“Q.3 Your attention is drawn to the press release of Business World dated 14.09.2012, wherein you stated to PTI that “we have decided to pass on the burden of increase in diesel price hike to customers. The freight charges will be increased with immediate effect by 15% across India” Please submit.

A.3 I may have said that the rentals may increase in future by 15% due to sudden and unprecedented increase of diesel price by Rs.5. There are serious omissions in my statement that are not carried by the media. I may have explained in addition that it may increase truck rental in future. It is only abstract statement and I remember correctly that I have explained in addition to that, which has not been mentioned by the media. It is wrong that to

suggest that I have said that it is decided to increase the truck rentals by 15% across the country. It is wrong that the increase will be from immediate effect. I had issued a duly signed press release dated 14th Sep. 2012 which was handed over to all correspondents present in the conference including PTI and requested them not to quote me orally. I feel that my statements were misinterpreted by the press. I am submitting a copy of the press release dated 14.09.2012 signed by me.

- 4.37 Shri Bal Malkit Singh furnished additional response to question No.15 and 16 on 23.08.2013. A copy of the same is enclosed as Anne-8.

Relevant excerpts of the response is as below :

“I with respect to Question 15, I would like to further submit that I have gone through the provisions of Section 3(1) and 3(3) of the Competition Act, 2002 (“Act”). I do not agree with the suggestion for two reasons. Firstly, no agreement or understanding was reached between the members of AIMTC to increase the truck rentals and no directions were issued to members either by me or any official spokesman from AIMTC about any “increase in truck rentals” as quoted in the Press reports as stated before and secondly, no meeting for considering any increase of truck rentals was ever conducted by AIMTC

thereafter. The emergent meeting conducted on September, 18, 2012 was only to consider and chalk out the mode of protest against the steep and unprecedented increase of diesel prices in September, 2012. My replies given to specific questions of the Pres correspondents on telephone were the spontaneous reaction on “the likely impact of the diesel price hike on the industry as a whole” and the same does not amount to any “decision taken by the association within the meaning of Section 3(1) or 3(3) of the Competition Act and the same cannot, by any stretch of imagination, determine the sales price, directly or indirectly for the industry or for individual truck operators. In fact our communication to the media was through our official press release dated 14 September, 2012 in which no such decision or announcement is mentioned. A copy of the same has already been submitted by me on August 13, 2013 to the DG. Therefore, in the absence of any such decisions or directions or agreement or understanding having been made by AIMTC with its members, there is no question of the same causing any appreciable adverse effect on competition in terms of Section 3(1) or Section 3(3) of the Act.

a) I would like to submit that various press correspondents contacted me through telephone

between 13.09.2012 till 20.09.2012 for my views on “the likely impact of the diesel price hike on the industry as a whole”. In response to that I had only mentioned that the unprecedented hike in diesel prices may be anticipated to increase the truckers’ cost of operations, as Rs.5 per litre will generally constitute 15% of increase in diesel price. It was only anticipation or apprehension of likely increase which was mentioned by me and nothing about by directive on behalf of the AILMTC to its members to increase the truck rentals was mentioned. Further, I had also told the press correspondents that AIMTC had made a Press Release on 14.09.2012 (submitted to Press Trust of India) on the same issue and requested the press correspondents to follow that Press Release as the official statement of AIMTC (A copy of the AIMTC Press Release has already been submitted to you on 13.8.2013).

- b) Further, I would like to submit that the AIMTC Press Release dated 14.09.2012 nowhere talks about any decision or directive given by AIMTC to its members in relation to increase in truck rentals. In fact, the Press Release nowhere talks about any statement in relation to price determination of the truck rentals.

- c) AIMTC has no role in setting freight prices. Member truckers independently negotiate price with their customers and often the fares solely depends upon demand and supply constraints in the market. AIMTC being an apex body representing many State level truck unions and associations always takes up the policy related issues like Toll Price increase, insurance cost increase, Tyre cost increase, etc. with the Government on behalf of its members.

(copies of the representations made to the Government of India are enclosed as Annexure-I).

I would also like to mention an important fact that in spite of the increase in diesel price in last 5 years, the freight rates have been hardly increased and have always come down. Noticeably, though diesel prices increased by 35% in last 3 years, the truckers have not increased the freight cost since 2010 which clearly explains that AIMTC has no role in, dictating fare increase to its members. I would also like to place on record a Media Report dated April 02, 2013 titled "Truck rentals drop by 1.5% in March" published by The Business Standard which clearly state the following :

"The fiscal 2012-13 (April 2012 – March, 2013 period) has turned out to be negative for truck

operators with an overall drop in truck rentals by 7-8 percent in the last four quarters as dispatches from the manufacturing sector, import-export trade and the infrastructure sector displayed negative performance leading to under-utilization of the National truck fleet.

Source : IFTRI”.

(A copy of the report dated April 02, 2013 and various other media report on the same issue are enclosed as Annexure 2 (colly)

1. With respect to Question No.16 I would like to submit that I was aware of abovementioned order dated 31.08.2016 passed by Hon'ble MRTPC Commission against AIMTC and the circular dated 28.10.1999 passed by AIMTC. I am also aware of the order passed by the Competition Appellate Tribunal (COMPAT) in the concept case no.4/2009 in which after receiving the legal advice, the direction with the withdrawal of alleged circular and an unconditional apology was given by AIMTC. The apology was given because the AIMTC had earlier failed to deposit the penalty amount of Rs.2000/- ordered by the Hon'ble COMPAT for non-filing the affidavit of compliance with the MRTPC order dated 31.08.2006. We had no option but to tender the apology which was only with respect to the non-

compliance of the Order of MRTPC against which no appeal was filed in the Supreme Court.

(b) Further, I would like to submit that the earlier case before MRTPC Commission does not have any bearing on the present case since the facts and circumstances of the present case are entirely different from the old case of 1999 decided in 2006. In the present case, as stated above, in compliance with the "Cease and Desist" orders passed by the MRTPC Commission in the earlier case of 2006, neither any decision or directions or agreement or understanding was made by AIMTC to all with its members and no such disputed circulars, like the earlier circular dated 28.10.1999 was issued by the AIMTC to its members after the unprecedented increase in diesel price were made by OMC's in September, 2012."

4.38 As it can be seen in the above statements that it is admitted by Shri Bal Malkit Singh at answer 6 of the statement recorded on 13.08.2013 that the press conference was called by Vice President of AIMTC, Shri Kultaran Singh Atwal at Association's Delhi Head Office address at 1/16-A, Asaf Ali Road, New Delhi-110002 on 14.09.2012. It is also an admitted fact that a press release was handed over to the

media persons after the press conference. A copy of the press release was submitted during the course of recording the statement. A copy of the same is enclosed as Annex-8 of the report.

4.39 It is also a fact on record that President and spokes persons of AIMTC at different places, Mumbai and Delhi respectively, has conveyed that any such hike in diesel price would result into the increase in truck rental by 15 percent.”

[Emphasis supplied]

21. The Addl. DG then analysed Section 3 in paragraphs 4.42 to 4.46 of his report and framed the following issues :

Issue 1 : Was there a meeting of mind or an agreement or an action in concert within the meaning of section 3 of the Act among members of the association to fix price ?

Issue 2 : Whether statement made by President/Spokesperson of the association in press can be considered as a direction/message conveying the decision of the Executive body to all its members to effect 15% increase in freight charges ?

Issue 3: Was the alleged announcement in public had any impact on the freight charges (truck rentals) subsequent to hike in diesel price ?

Issue 4 : Whether OP acted in a cartel like manner by asking its members to effect 15% increase in freight charges across the country and ignoring the actual effect of the diesel price hike ?

22. While dealing with Issue No. 1, the Addl. DG referred to the registers maintained by the appellant, referred to the statement made by Shri Kultaran Singh, Vice President of the appellant in response to the summon issued under Section 36(2) and recorded the following observations :

“4.53 It is also gathered that there is no direct circular issued this time by AIMTC requesting its Members to increase the freight minimum by 15% to compensate the hike in diesel price. However, such conduct of non-issuing any direct circular has to be seen with respect to the fact that MRTP Commission in its order RTPE No. 3/2000 dated 31st August, 2006 had passed a cease and desist order against the OP for issuing circular to its members requesting to increase the freight minimum by 18% to compensate the hike in diesel price. MRTP Commission indicted transporters body AIMTC for such attempt and had issued ‘cease and desist’

order. In the same case there was Contempt of Court' order by the COMPAT vide Contempt No. 4/2008 in RTPE No. 03/2000 for non-compliance of the said order.

4.54 Further, ad-verbatim quote by several media houses strongly indicates that there has been some form of communication or shared knowledge amongst the Members of the Association which resulted into statements of president and Spokesperson located at Mumbai and Delhi respectively. Two important Members of the Executive Committee speaks in identical tone, sitting at two different places, heavily suggests about prior consultations before making such statements to the Media Personnel.

4.55 Recommendations made by an association or a resolution passed at its meeting are also decisions whether they manifest its resolve to coordinating the conduct of its members or its resolutions and recommendations contrary to section 393) of the Competition Act, may be understood to mean the "decision taken by" any association of enterprises or of persons, as referred to in the said section. Statement made by the President and Spokesperson can certainly be considered as an informal

arrangement which comes parallel to the decisions taken by the association.

4.56 In view of the above, certainly there was meeting of mind acting in concert within the meaning of section 3 of the Act among members of the association to fix the price subsequent to hike in diesel price."

[Underlining is ours]

23. The Addl. DG next dealt with Issue No. 2, referred to the press-release issued on 14.09.2012 and made the following observations :

"4.58 Now the issue is whether the statement made by President/Spokesperson of the association in press can be considered as a direction to all its members?

4.59 It is observed from the replies of Members of AIMTC (refer Table -1) that any direction of AIMTC to its members is legally not binding upon them. None of them has reported any litigation pending with AIMTC in connection with not following its direction. Similarly, no action for not abiding with the decisions of the Association. Though there are more than 1000 members of the Association, it is gathered from the Articles of Association that the Managing Committee of not more than 121 Members are actually responsible for all the decisions. Calling annual general meeting or extra ordinary meeting or confirming the affiliation of individual members and

Regional Associations, everything is decided by the Managing Committee only. President and Zonal Vice Presidents are most important functionaries amongst the members of Managing Committee. (A copy of the Memorandum and Articles of Association of AIMTC is enclosed as Annex.-13).

It is seen in this case that President at Mumbai and Vice President of North Zone had made statement in the media. Though it is stated by OP that there was no meeting held before or after the Press Conference, it is observed that such statements by top two most important functionaries of the Association must be given to have corresponding effect on the Members of the Association all over India.

4.60 Such attempt of OP to influence its Members suggesting the increase in truck rentals to accommodate the hike in diesel price may be compared with similar action of the OP in past wherein it has issued a circular to increase the freight to compensate the hike in diesel price.

4.61 MRTP Commission in its order RTPE No. 3/2000 dated 31st August, 2006 had passed a cease and desist order against the OP for issuing circular to its members requesting to increase the freight minimum by 18% to compensate the hike in diesel

price. MRTP Commission indicated transporters body AIMTC for such attempt and had issued 'cease and desist' order. In the same case there was 'Contempt of Court' order by the COMPAT vide Contempt No. 4/2008 in RTPE No. 03/2000 for non-compliance of the said order.

4.62 Though the facts in the present case on this account is different to the extent that there is no circular issued this time by the Association requesting its Members to increase the truck rentals, the statement made in public by the President, Vice President and Spokes Person of the Association very much is in the nature of an informal arrangement or direction for increasing the truck rentals to compensate the hike in diesel price.

4.63 In view of the above, it is held that the statement made by President/Spokesperson of the association in press is a direction/message conveying the decision of the Executive body to all its members."

[Underlining is ours]

24. The Addl. DG then referred to the responses received from 7 transporters in regard to the truck rentals in 10 Trunk routes between January, 2011 and September, 2012 and made the following observations :

"4.66 Regarding the increase in the freight subsequent most of the members had emphasized that either

they do not keep such data with them or the truck rentals are subject to various factors and is totally dependent upon the demand and supply position relevant to a particular time. However, following parties have provided the relevant details which are summarized as below

Name of the Transporter	Trunk Route	FREIGHT CHARGES		% Change
		September – 2012		
		Before hike in diesel prices	After hike in diesel prices	
Shah Bulk Carrier	Baroda To Pithampur	825	890	7.8
	Baroda To Mandideep	1510	1510	0
	Baroda To Udaipur	1000	1070	7
	Baroda To Ambernath	1290	1385	7.36
	Baroda to Sikandrabad	2605	2815	8.06
	Baroda To Baddi	3010	3350	11.29
	Patalganaa To Baroda	1260	1350	7.14
	Hazira To Nandesari	610	645	5.73
	Baroda To Hazira	565	600	6.19
	Kandla To Baroda	1075	1075	0
	Baroda To Malwa	2585	2790	7.93
	Baroda To Ropar	3165	3405	7.58
Ganga Jamna Carriers	Varanasi To Delhi	15000	15000	0
Ansh Freight Carriers	Plain Route Within Pb. State	Rs.9.82 Per Cyl. Per Km	Rs.9.89 Per Cyl. Per Km	0.71
	Hill Area Route H.P.	Rs.11.26 Per Cyl. Per Km.	Rs.11.35 Per Cyl. Per Km.	0.79
Sunny Travels (Regd.)	Local/ NCR	11.55 per km	12.00 per km	3.89
Jai Bhagwati Transport Service (Regd.)	Gonda To Bahrach	90 paisa per kg	105 paisa per kg	16.66
Sikkim Road Carriers	U.P. Boarder to Siliguri	45000	46000	2.22
Bombay Andhra Roadways (P) Ltd.	Delhi – Surat (Guj)	26.25 per km.	27.50 per km	4.76

C. NarshiRoadlinesAhemdabad	Ahemdabad- Southern India	Rs.2300- 2500	Rs.2300- 2500	0
	Hyderabad- Ahemdabad	Rs.1300- 1600	Rs.1600- 1950	21.20
Raj Kamal Transport Corporation	Ghaziabad Agra	Rs.115	Rs.123	06.95
Jaipur Golden Transport Company Private Limited	Delhi – Mumbai {Solid (per Kg)}	Rs.2.90	Rs.3.35	15.52
	Delhi – Mumbai {Bulky (Per Kg)}	Rs.4.30	Rs.5.00	16.27
	Mumbai-Delhi {Solid (Per Kg)}	Rs.4.40	Rs.4.40	0
	Delhi-Kolkata {Solid (Per Kg)}	Rs.3.70	Rs.5.60	51.35
	Delhi-Kolkata {Bulky (Per kg)}	Rs.5.60	Rs.6.40	14.28
	Kolkata-Delhi {Solid (Per Kg)}	Rs.3.50	Rs.4.00	14.28
	Delhi – Hyderabad {Solid (Per Kg)}	Rs.3.45	Rs.4.00	15.94
	Delhi – Hyderabad {Bulky (Per Kg)}	Rs.5.20	Rs.6.00	15.38
	Hyderabad – Delhi {Solid (Per Kg)}	Rs.4.00	Rs.4.50	12.50
	Hyderabad – Delhi {Bulky (Per Kg)}	Rs.6.00	Rs.6.75	12.50
	Delhi – Chennai {Solid (Per Kg)}	Rs.4.50	Rs.5.30	17.77
	Delhi – Chennai {Bulky (Per Kg)}	Rs.6.90	Rs.7.95	15.21
	Chennai-Delhi {Solid (Per Kg)}	Rs.5.50	Rs.6.00	09.09
	Delhi – Bangalore {Solid (Per Kg)}	Rs.4.10	Rs.4.70	14.60
	Delhi-Bangalore {Bulky (Per Kg)}	Rs.6.20	Rs.7.05	13.70
	Bangalore-Delhi {Solid (Per Kg)}	Rs.4.50	Rs.4.80	Rs.06.25
	Delhi – Nagpur {Solid (Per Kg)}	Rs.2.90	Rs.3.35	15.50
	Delhi – Nagpur {Bulky (Per Kg)}	Rs.4.30	Rs.5.00	16.27
	Nagpur-Delhi {Solid (Per Kg)}	Rs.3.20	Rs.3.40	06.25
	Delhi – Kandla {Solid (Per Kg)}	Rs.1.95	Rs.2.25	15.38
	Delhi- Nagpur {Bulky (Per Kg)}	Rs.2.95	Rs.3.40	15.25
	Kandla – Delhi {Solid (Per Kg)}	Rs.1.80	Rs.2.10	16.66
Transport Corporation of India Ltd.	Delhi – Bangalore (Rs. / Mt)	Rs.3850	Rs.4000	03.75
	Delhi-Hyderabad (Rs. / Mt)	Rs.2900	Rs.3150	08.60
	Hyderabad – Delhi (Rs. / Mt)	Rs.2440	Rs.2500	02.40
	Delhi-Raipur (Rs. / Mt)	Rs.2467	Rs.2600	05.39
	Mumbai-Delhi (Rs. / Mt)	Rs.2550	Rs.2684	05.25
Vinayak Road Carriers	Hazira-Sanad	Rs.867	Rs.910	04.95

	Hazira – Ahemdabad	Rs.820	Rs.861	05.00
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25. On the basis of the above, the Addl. DG recorded the following conclusion :

“4.71 In view of the above discussions, it is concluded that the alleged announcement in public to increase the freight charges subsequent to hike in diesel price had a major role in determining the prices of truck rentals indirectly. In view of the same, the act of the OP is considered to be in violation of the provision of Section 3(3) of the Act.”

[Underlining is ours]

26. In the last portion of his report under the heading ‘Investigation’, the Addl. DG dealt with the fourth Issue as to whether the appellant acted in a cartel like manner by asking its members to effect 15% increase in freight charges, again adverted to the media reports and made the following observations :

“4.78 Above two statements were published ad-verbatim in the Indian Express, the Financial Express, IBN Live, the Economic Times, Business World and Trans Reporter (Transport daily) etc. It was noted from all the press reporting that all the press quoted the same statement which makes it abundantly clear that these statements were certainly given by these two persons in these words otherwise it would not

have been possible for all the media houses to quote the same words in the next day edition of its newspaper. It strongly indicates that there has been some form of communication or shared knowledge amongst the Members of the Association which resulted into statements of President and Spokesperson located at Mumbai and Delhi Committee speaks in identical tone, sitting at two different places, heavily suggests about prior consultations before making such statements to the Media Personnel.

4.79 In view of the same it was held that there was meeting of mind among members of the association to fix the price. Avoiding a direct circular and having an informal arrangement by means of making statement in media were part of such understanding and intent.

4.80 Another instance of meeting of mind was noted in the OPs Association call for a nationwide strike on 20.09.2012. During the course of investigation, it was admitted by Shri BalMalkit Singh, President that *“emergent meeting was called on 18.09.2012 at Mumbai and it was decided to join the Bharat Bandh called by the Opposition Parties on 20.09.2012.”* Various newspapers reporting (web edition of India

Today, Business Standard, The Hindu etc.) had covered the impact of Bharat Bandh. Calling emergency meeting directing its members to participate in the strike confirms that OP's Association influence over its members extends largely.

4.81 Existence of behaviour confirming cartel like manner has also been examined with respect to the pattern reflected in non-compliance to the notices as well as in the identical reply of the members of the Association. Relevant part of the discussion made in earlier paragraph is reproduced below :

“On cursory look replies appeared to be identical to each other. Therefore, content of the replies have been further examined to look into the aspects of probability of their meeting before replying to the queries of this office. Two responses were received from M/s. Tulsa Motor Transport. First letter appears to be draft as it starts with “Draft response for CCI Notice”. Proper reply was also annexed with the “draft response”. On examination of the stamp fixed over the envelope, it is found that the said letter is posted to this office on 16.04.2013. All other replies were examined with respect to the content of the letter of M/s. Tulsa Transport and the fact that a draft response was prepared first by M/s.

Tulsa Transport which in all probability has been circulated amongst other Members of the Association before replying to this office

It is therefore seen that out of the Members of the Association replied to the queries of this office, 21 of them have replied in identical manner. Generally, there are 8 paragraphs in all the identical replies. Normally, only para 7 was found to be different in almost all identical replies. Reason for making the para 7 different is only because of the fact that under this paragraph certain data were required to be furnished. In other words, even copying the identical content, members of the Association had applied their mind to make the changes to para 7 according to the nature of data required to be furnished.

Behaviour of members of Association can also be analysed with respect to their approach towards making compliance to the notices sent by this office u/s 36(2) of the Act. A comprehensive list of members of the Association was provided by the OP in its submission. Notice u/s 36(2) was sent to 232 members of the Association selecting every sixth member from the list provided. It was strange to find that only 34 members replied out of 232 letters sent on 2.4.2013. Providing reasonable opportunity to

them, reminders were sent again to all the person who had not replied the notices issued to them. On this occasion i.e. after reminders dated 08.07.2013, only 21 replies were received.

It cannot be coincidence that such a large number of members of the Association have decided not to reply the notices. Like the way, they have chosen to reply in identical manner, member decided not to reply has also discussed the matter together and preferred to keep silent. To obtain information and data relevant to know the implementation of increased prices, another opportunity was given to non-compliant members and further reminders were sent on 12.11.2013. A copy of the reminder is enclosed as Annex-14.

In view of the above discussion, it is certain that all of them have discussed to the issue together before replying. It can also be concluded from the content of the letter that a format of reply has been prepared by one of the important member of the Association. Involvement of the OP or the members of the Executive Committee cannot be ruled out. Since, the proceedings are going against the umbrella organization AIMTC it is more probable

that the content of the letter has major influence of important members of the Executive Committee”.

4.82 In view of the above discussion, it is concluded that OP acted in a cartel like manner by asking its members to effect 15% increase in freight charges across the country and ignoring the actual effect of the diesel price hike and therefore, it is held that the act of the OP is in violation of the provision of Section 3(3)(a) of the Act.”

[Emphasis supplied]

27. The Commission considered the investigation report in its ordinary meeting held on 11.02.2014, adverted to the findings recorded by the Addl. DG on the four issues framed by him and observed that he had not examined the conduct of the office-bearers of the appellant, especially those who made public announcements to fix individual responsibilities of the office-bearers of the appellant. The Commission also observed that the samples taken by the Addl. DG for determining the impact of the public announcements made by the office-bearers of the appellant on the rentals were inadequate and that the Addl. DG had not given any finding in respect of the Jharkhand and Kerala Associations. On that premise, the Commission directed the Addl. DG to conduct further investigation. The relevant portions of the order passed by the Commission are extracted below :

- “7. The Commission considered the investigation report of the DG and noted that the DG has not examined the conduct of the office bearers of AIMTC, especially those who made the public announcements, to fix individual responsibilities of the office bearers. Further, the impact of public announcements of office bearers of the AIMTC on rentals have been done only by taking into account the data of 12 truck operators whereas they are more than 1000 in numbers. So the sample size may not be a truly representative one. It has also come in the DG report that some State Associations e.g. Jharkhand Truck Owners Association had also made announcement for increasing the truck freight charges in the State by 18%. Similar reports appears in relation to the Association in Kerala also, however, DG has not given any findings in respect of these associations and their office bearers.
8. In view of the above, the Commission is of the view that a complete/final view in the matter cannot be taken on the basis of the material available in the DG report, and further investigation is needed in the matter. Therefore, DG is directed to further investigate the matter including the following issues and submit the report to the Commission within 45 days from the receipt of this order :-

- (i) Examine the conduct of the office bearers of AIMTC, especially those who made the public announcements, to fix individual responsibilities.
- (ii) The impact of public announcements of office bearers of the AIMTC on rentals taking adequate sample size.
- (iii) The conduct of State Associations and their office bearers including the State Associations of Jharkhand and Kerala mentioned in the DG report and impact of this conduct on the competition in the market.”

28. In compliance of the directive given by the Commission for further investigation, the Addl. DG issued reminders to 173 transport companies/ associations, who had not responded to the earlier notices issued on 08.04.2013 and also issued notices to 210 other transport companies/ associations requiring them to furnish certain information and documents. The tenor of these reminders and notices was identical to the notices earlier issued to the transport companies. The responses given by the transport companies were also similar to those given by others in reply to the notices issued in April, 2013. In their replies, Chennai Goods Transport Association, Coimbatore Lorry owners Association, M/s. Posta Goods Transport Association, MahobaChhaterpur Bus Association, Jaipur Transport Operators Association, The Calcutta Good Transport Association, Raipur Interstate Goods Transport Association, Truck Owners Association, Choudwar, Hyderabad Good Transport Association, Maharashtra Heavy Vehicle & Interstate Container Operator's Association, Federation of

Karnataka Lorry Owner's Association, All North East Commercial Truck owners and Operators Association, Chandigarh Transport Association, Bombay Goods Transport Association, The Garhwal Motor Owner's Union Ltd., Delhi Goods Transport Association, The Delhi Motor Truck Owners Union, The Delhi Transporter's Association, All Maharashtra Truck Owners & Goods Transport Association, Maharashtra Transporters Welfare Association, Allahabad Motor Operators and Transport Union, CMDA Truck Terminal Complex Welfare Association, Chennai, Akhil Gujarat Pravasi Vahan Sanchalak Mahamandal, Federation of Bombay Motor Transport Operators, Navi Mumbai, Agra Retail Truck Transport Association, Agra, Association of Transporters, Pune (Regd.), Transport Nagar Aslali Ahmedabad, Kumayun Motor Operators Cooperative Union Ltd., Nainital, Cuttack Truck Owners' Association, Rajasthan Truck Transport Operators' Union, The Bombay Transport Cooperative Consumers Society Ltd., Orissa State Truck Owners' Federation, Navi Mumbai Transport Association and Lorry Owners Welfare Federation, Kerala State specifically denied the suggestion that any directive was issued by the appellant for hike in the freight charges.

29. The Addl. DG also issued letter dated 13.05.2014 to Respondent No. 1, who submitted response dated 15.05.2014 and reiterated the allegation that as a sequel to hike in diesel prices, the appellant had jacked up the freight by 15%. The Addl. DG took cognisance of the freight on 79 additional routes (total 130 routes) and prepared a chart, which has been reproduced in paragraph 20 of this order, and recorded his conclusion in the following words:

“5.14 In view of the above discussions, it is concluded that the alleged announcement in public to increase the freight charges subsequent to hike in diesel price had a major role in determining the prices of truck rentals indirectly. In view of the same, the act of the OP is considered to be in violation of the provision of Section 3(3)(a) of the Act.”

He then noticed the replies given by various transport associations, the alleged recommendations made by 5 regional transport associations including Jharkhand Truck Owners' Association and Lorry Owners Welfare Federation, Kerala and made the following observations :

“Conduct of Association and its Office bearers :

10.1 While examining the conduct of the OP in the original Investigation Report, the evidence on record was the news article published in various newspapers including web-edition containing statement made by the President and Spokesperson of AIMTC. On the basis of these news items and further admittance by the respective office bearers of the AIMTC of the content of the news article in their statement recorded u/s 36(2), it was analysed and held in the original Investigation Report that the statement made in the media was akin to the decision taken by the Association conveying the same to its members. Such conduct of the office

bearers was considered to be violative of section 3(3)(a) of the Act.

10.2 The conduct of the Jharkhand Truck Owners Association (JTOA) and Lorry Owners Welfare Federation and its office bearers is identical to the conduct of the office bearers of AIMTC where Mr. Prabhat Kumar Santu, General Secretary of JTOA and Shri K.K. Hamza, President of Lorry Owners Welfare Federation had made similar statements in media i.e. to increase the freight rates subsequent to diesel price hike by a certain percentage. JTOA General Secretary has categorically stated that “a group was insisting on a 20% hike while another was reluctant to move above than 15%. Finally, a consensus was reached. It is further observed from the news article dated 23rd September, 2012 that JTOA President Mr. Uday Shankar Ojha had said “it was a painful decision to make but we had no other option.” Demanding that the operating fare of goods carriers in Kerala be hiked by 30 per cent, following the hike in diesel price, the Kerala State Lorry Owners Welfare Federation through its President, K.K. Hamza stated that it held talks with Merchant Coordination Committee and other unions, where it was agreed that the fare would be increased by 16 per cent. A copy of the relevant news articles was

enclosed as at Page 118 & 119 of the original investigation report.

10.3 Conduct of Regional Associations Jharkhand Truck owners Association (JTOA) and Lorry Owners Welfare Federation are not different from the conduct of the apex Association, AIMTC. In these 2 cases also, office bearers of Associations have made statement to media conveying its members to increase the truck rentals by a certain percentage. Hence, the entire discussion in the original investigation report on the conduct of office bearers, which was found to be violative of section 3(3)(a) of the Act, is applied in these 2 cases also.

10.4 Conduct of Regional Associations namely i) Chennai Goods Transport Association (ii) Maharashtra Heavy Vehicle & Interstate Container Operator's Association and (iii) Kumayun Motor Operators Cooperative Union Ltd. (iv) Navi Mumbai Transport Association is more suggestive of violation of provisions of Section 3 of the Act. In comparison to the conduct of the apex Association, in these four cases, there are clear evidences of taking a decision in its meeting by the State Association to increase the truck rentals subsequent to the hike in diesel price. Evidences in the form of e-mail and minutes

of the meeting recorded suggest that such decisions were communicated to their members.

10.5 It can be seen from the replies of four Member Associations that the issue of hike in diesel price and subsequent increase in truck rentals were discussed in several forms by the Associations. Decision taken in the meeting was either communicated to its Members for implementation through recorded minutes or by sending e-mail or orally to the members approached the associations. The conduct of State Associations and their office bearers by recommending increase in freight rentals subsequent to diesel price hike is actually a decision taken by the Association where they manifest its resolve to coordinate the conduct of its members. The conduct of the Association of coordinating the conduct of its members in the form of recommendations is contrary to Section 3(3) of the Act."

[Underlining is ours]

30. After completing the aforesaid exercise, the Addl. DG submitted supplementary investigation report dated 14.07.2014 with the following conclusion :

“In view of the above discussion, it is concluded that the alleged announcement in public to increase the freight charges subsequent to hike in diesel price had a major role in determining the prices of truck rentals indirectly. In view of the same, the act of the OP is considered to be in violation of the provisions of Section 3(3)(a) of the Act.”

31. In paragraphs 5.7 to 5.9 of the supplementary investigation report, the Addl. DG analysed the statistics relating to increase in the freight on 132 routes including the 51 routes already analysed in paragraphs 4.66 of the first report and found that the increase in the freight was between 0-5% on 81 routes, 5-10% on 24 routes, 10-15% on 8 routes and more than 15% on 17 routes. For the sake of reference, these paragraphs are reproduced below:

“5.7 Following the directions of the CCI, to have adequate sample size, fresh notices were issued to 124 transport companies/ Associations. In addition, 150 reminders were also sent in the cases where notices u/s 36(2) were issued during earlier investigation. During earlier investigation, details of freight charges, as provided by 12 members (41 routes), were tabulated in Table 2 at para 4.66 of the original investigation report. After incorporating the details collected during the present and earlier investigation, increases in the freight subsequent to increase in price of diesel are summarized as below :

S.N o	Name of the Transporter	Trunk Route	FREIGHT CHARGES		% Change
			September – 2012		
			Before hike in diesel prices	After hike in diesel prices	
1	Shah Bulk Carrier	Baroda To Pithampur	825	890	7.8
		Baroda To Mandideep	1510	1510	0
		Baroda To Udaipur	1000	1070	7
		Baroda To Ambernath	1290	1385	7.36
		Baroda to Sikandrabad	2605	2815	8.06
		Baroda To Baddi	3010	3350	11.29
		Patalganaa To Baroda	1260	1350	7.14
		Hazira To Nandesari	610	645	5.73
		Baroda To Hazira	565	600	6.19
		Kandla To Baroda	1075	1075	0
		Baroda To Malwa	2585	2790	7.93
		Baroda To Ropar	3165	3405	7.58
2	Ganga Jamna Carriers	Varanasi To Delhi	15000	15000	0
3.	Ansh Freight Carriers	Plain Route Within Pb. State	Rs.9.82 Per Cyl. Per Km	Rs.9.89 Per Cyl. Per Km	0.71
		Hill Area Route H.P.	Rs.11.26 Per Cyl. Per Km.	Rs.11.35 Per Cyl. Per Km.	0.79
4.	Sunny Travels (Regd.)	Local/ NCR	11.55 per km	12.00 per km	3.89
5.	Jai Bhagwati Transport Service (Regd.)	Gonda To Bahrich	90 paisa per kg	105 paisa per kg	16.66
6.	Sikkim Road Carriers	U.P. Boarder to Siliguri	45000	46000	2.22
7.	Bombay Andhra Roadways (P) Ltd.	Delhi – Surat (Guj)	26.25 per km.	27.50 per km	4.76
8.	C. NarshiRoadlinesAhemdabad	Ahemdabad-Southern India	Rs.2300-2500	Rs.2300-2500	0
		Hyderabad Ahemdabad	Rs.1300-1600	Rs.1600-1950	21.20
9.	Raj Kamal Transport Corporation	Ghaziabad Agra	Rs.115	Rs.123	06.95
10.	Jaipur Golden Transport Company Private Limited	Delhi – Mumbai {Solid (per Kg)}	Rs.2.90	Rs.3.35	15.52

		Delhi – Mumbai {Bulky (Per Kg)}	Rs.4.30	Rs.5.00	16.27
		Mumbai- Delhi {Solid (Per Kg)}	Rs.4.40	Rs.4.40	0
		Delhi-Kolkata {Solid (Per Kg)}	Rs.3.70	Rs.5.60	51.35
		Delhi-Kolkata {Bulky (Per kg)}	Rs.5.60	Rs.6.40	14.28
		Kolkata-Delhi {Solid (Per Kg)}	Rs.3.50	Rs.4.00	14.28
		Delhi – Hyderabad {Solid (Per Kg)}	Rs.3.45	Rs.4.00	15.94
		Delhi – Hyderabad {Bulky (Per Kg)}	Rs.5.20	Rs.6.00	15.38
		Hyderabad – Delhi {Solid (Per Kg)}	Rs.4.00	Rs.4.50	12.50
		Hyderabad – Delhi {Bulky (Per Kg)}	Rs.6.00	Rs.6.75	12.50
		Delhi – Chennai {Solid (Per Kg)}	Rs.4.50	Rs.5.30	17.77
		Delhi – Chennai {Bulky (Per Kg)}	Rs.6.90	Rs.7.95	15.21
		Chennai- Delhi {Solid (Per Kg)}	Rs.5.50	Rs.6.00	09.09
		Delhi – Bangalore {Solid (Per Kg)}	Rs.4.10	Rs.4.70	14.60
		Delhi- Bangalore {Bulky (Per Kg)}	Rs.6.20	Rs.7.05	13.70
		Bangalore- Delhi {Solid (Per Kg)}	Rs.4.50	Rs.4.80	Rs.06.2 5
		Delhi – Nagpur {Solid (Per Kg)}	Rs.2.90	Rs.3.35	15.50
		Delhi – Nagpur	Rs.4.30	Rs.5.00	16.27

		{Bulky (Per Kg)}			
		Nagpur-Delhi {Solid (Per Kg)}	Rs.3.20	Rs.3.40	06.25
		Delhi – Kandla {Solid (Per Kg)}	Rs.1.95	Rs.2.25	15.38
		Delhi-Nagpur {Bulky (Per Kg)}	Rs.2.95	Rs.3.40	15.25
		Kandla – Delhi {Solid (Per Kg)}	Rs.1.80	Rs.2.10	16.66
11.	Transport Corporation of India Ltd.	Delhi – Bangalore (Rs. / Mt)	Rs.3850	Rs.4000	03.75
		Delhi-Hyderabad (Rs. / Mt)	Rs.2900	Rs.3150	08.60
		Hyderabad-Delhi (Rs. / Mt)	Rs.2440	Rs.2500	02.40
		Delhi-Raipur (Rs. / Mt)	Rs.2467	Rs.2600	05.39
		Mumbai-Delhi (Rs. / Mt)	Rs.2550	Rs.2684	05.25
12.	Vinayak Road Carriers	Hazira-Sanad	Rs.867	Rs.910	04.95
		Hazira – Ahemdabad	Rs.820	Rs.861	05.00
13.	Maharashtra Freight Carriers (P) Ltd.	Delhi to Pune (10 Ton)	28000	29000	3.57
		Delhi to Pune (15 Tonne)	41500	43000	3.61
		Delhi to Kolhapur (15 Tonne)	46000	48250	4.89
14.	U.P. Bombay Road Carriers	Mumbai to Delhi Ghaziabad	Rs.32.40 per km	32.85 per km	1.40
		Mumbai – Uttarakhand	32.35 per km	33.35 per km	3.09
15.	AAR TEE Transport Company (P) Ltd.	Pune to Gurgaon	Rs.2750	Rs.2750	0
16.	Surat Goods Transport Pvt. Ltd.	Ambala to Kolkatta	Rs.41500	Rs.43000	3.61
		Hazira – Pandicherry	Rs.53600	Rs.55600	3.73
17.	Ferbandes Road Carriers (Works on Rate contract	Bangalore to Baroda (9 Tonne)	Rs.20564	Rs.20564	0
		Bangalore to Delhi and Noida (15 Tonne)	Rs.58936	Rs.58936	0
18.	Associated Road Carriers Ltd.	Salem to Malanpur (MP)	Rs.2899	Rs.3050	5.30
		UP Boarder (GZB) to Autonagar	Rs.4286	Rs.4429	3.37

		(HYBD)			
19.	S.P. Golden Transport Pvt. Ltd.	Bhiwandi – Indore	Rs.13500	13600	0.74
20.	Delhi U.P. Madhya Pradesh Transport Company (West)	Limda – Gurgaon	Rs.38530	Rs.40520	5.19
21.	Rashtriya Cargo Movers	Hazira – Taloja	Rs.88.90 per km	Rs.122.01 per km	37.24
		Hazira – Sanswadi	Rs.70.53 per km	Rs.70.32 per km	(-)0.29
22.	VRL Logistics Ltd.	Delhi-Chennai	Rs.5.25 per kg.	Rs.5.25 p/kg.	0
		Mumbai-Bangalore	Rs.4/- per kg.	Rs.4/- per kg.	0
23.	Nitin Road Lines of India Pvt. Ltd.	Mohali – Lucknow	Rs.6.36 per kg.	Rs.6.63 p/kg.	4.24
		Mohali – Daund	Rs.4.31 p/km.	Rs.4.58 p/km	6.26
24.	OTS Limited	Jamnagar-Hyderabad	Rs.49072	Rs.49072	0
		Jamnagar-Bangalore	Rs.61472	Rs.61472	0
		Jharsguda-Bangalore	Rs.47250	Rs.57450	17.75
25.	Rinku Commercial Carrier Pvt. Ltd.	Hoshiarpur-Ahemdabad	Rs.4.29 p/km	Rs.4.54 p/km	5.82
		Nagpur-Patna	Rs.7.36 p/km	Rs.7.88 p/km	7.06
26	Thenpandiyan Transport	Narimanam-BHEL Trichy	Rs.3.0147 km/MT	Rs.3.1383 km/MT	4.0
27	Eastern Road Carriers Pvt. Ltd.	Kolkata-Guwahati	Rs.38.20 per km	Rs.38.20 per km	0
		Guwahati-Kolkata	Rs.20.50 per km	21.80 per km	6.34
28	Seven Hills Cargo Movers	Kondagudem-Ranchi	Rs.41.35 per km.	Rs.42.40 per km.	2.54
29.	Rathore Freight Carriers Pvt. Ltd.	Kandla-Gurgaon	Rs.1647 per mt	Rs.1647 per mt	0
		Jaipur-kandla	Rs.31500	Rs.31500	0
30	South Eastern Carriers Pvt. Ltd.	Chennai-Chakhan	2437.50	2900	18.97
		Chakhan-Lucknow	41600	46720	12.30
31.	Odisha Road Carriers Pvt. Ltd.	Bhubneshwar-Kolkata	Rs.24.44 per km	24.50 per km	0.25
		Kolkata-Bhubneshwar	23.33	24.50 per km	5.22
32	A.S. Transport Pvt. Ltd.	Chennai-Bhubneshwar	38000.00	-	0
		Rudrapur-Pune	38000.00	-	0
33	Mahalakshmi Logistics Pvt. Ltd.	Faridabad-Mandideep	Rs.1.20 per kg/ per km	Rs.1.20 per kg/ per km	0
		Faridabad-Pithampur	Rs.1.20 per kg/ per km	-	0
34	Western Arya Transports (P) Ltd.	Mumbai – Delhi	Rs.1.95 per kg/	Rs.1.95 per kg/	0

			per km	per km	
		Mumbai – Cuttack	Rs.2.02 per kg/ per km	Rs.2.02 per kg/ per km	0
35	CTO Carriers Ltd.	Mumbai- Delhi	Rs.50300	Rs.52576	4.52
36	Indore Jabalpur Roadlines	Indore- Jabalpur	Rs.1.12 per kg	Rs.1.20 per kg	7.14
		Indore- Raipur	Rs.2/- per kg	Rs.2.05 per	2.5
37	National Freight Carrier	Delhi-Kolkata	Rs.39000 /-	Rs.39500 /-	1.28
38	Raipur Orissa Road Carriers	Indore – Raipur	1700 per mt/ ton	1700 mt/ton	0
		Indore – Bhubneshwa r	3200 per mt/ton	3200 mt/ton	0
39	Ghaziabad Trailer Syndicate	Ghaziabad- Lucknow	1400 per ton	1400 per ton	0
		Ghaziabad- Jhanasi	1600 per ton	1600 per ton	0
40	ABC India Ltd.	Deals Parcels & Small Consignment s	No changes in freight		
41	New Kashmir Golden Transport Company	No booking	-	-	-
42	The Krishna District Lorry Owners' Mutually AIDED Co-operative Store Ld.	No change	-	-	-
43	Green Orient Transport Service	No change	-	-	-
44	New Public Transport	No booking	-	-	-
45	The Delhi Sonipat Goods Tpt Co Regd	No change	-	-	-
46	Gurmukh Transport Service	No change	-	-	-
47	Solan Shimla Transport Company Pvt. Ltd.	Delhi- Chandigarh	No change	No change	
48	Vijay Roadways	-	-	-	-
49	Suman Roadways	Kanpur- Lucknow	Parcel Service		-
50	Nav Bharat Goods Carriers	Parcel Booking	Piece Booking	-	-
51	Sam Transport (P) Ltd.	Booking agents	Rates depends on demand/ supply	-	-
52	Super Sonic Carrier Pvt. Ltd.	Work on contract basis	No changes in freight charges between the period 10.9.12 to 16.9.12		-
53	South Assam Carriers Ltd	Daily Rates negotiated	Rates are negotiated on daily basis by parties/ agents etc.		-
54	Kunwar Goods Carrier	No changes	No changes		

Following transporters were found not to be engaged as freight carrier.

1	SreeGajanana Motor Transport Company Ltd.	Having stage carriages for passengers	-	-	-
2	Jagdish& Co. Pvt. Ltd.	Contract with Car Companies	-	-	-
3	Anjani Roadways	Not involved in truck transport	-	-	-
4	Bakshi Transport	Bus/ Tour Operator	-	-	-
5	Sri Ramadas Motor Transport Ltd.	No member of any association	-	-	-
6	G. Shantilala Transport Co.	Booking Agents	-	-	-
7	Kashmir Himachal Cargo Carriers	Booking agents	-	-	-
8	Super Road Lines	Booking agents	Booking Agents/ work on commission basis		-
9	Krishna Bus Service	Bus operators			
10	National Carriers Corporation	-	-		-

5.8 By incorporating the details of 79 additional routes to the data collected of 51 routes during the earlier investigation, the trend in increase of Truck Rentals appear as below :

0-5	81
5-10	24
10-15	08
> 15	17
Total	130 routes

5.9 It is seen from the sample data of 130 routes that the increase in truck rentals after hike in diesel price on 13.09.2012 has been significant. Steep increase in truck rentals (in some cases up to 51%) in the period 14th September to 30th September, 2012 confirms that the statement made by the office bearers of the association in the media has created a large impact on the prices of truck rental.”

In the last portion of his report, the Addl. DG incorporated the particulars of the office-bearers of the appellant and six other associations, namely Chennai Goods Transport Association, Maharashtra Heavy Vehicle and Interstate Container Operator's Association, Kumayun Motors Operators Cooperative Union Limited, Navi Mumbai Transport Association, Lorry Owners Welfare Federation (Kerala) and Jharkhand Truck Owners Association to enable the Commission to take action under Section 48 of the Act.

32. After examining the two reports, the Commission decided that electronic copy thereof be forwarded to the informant, the appellant and 27 individuals (office bearers of the appellant and various transport associations) to enable them to file their submissions/objections along with their financial statements of profit and loss accounts/ turnover of last three financial years. The office bearers were also directed to furnish their individual tax returns in respect of last three financial years.

33. The appellant filed detailed objections dated 17.11.2014 to contest the findings recorded by the Addl. DG. Shri Navin Gupta (Secretary General of the appellant) filed an additional affidavit dated 28.11.2014 with the documents marked as Annexure R-1 to R-5. The appellant pleaded that no evidence was collected by the investigating officer for proving the ingredients of Section 3(1) read with Section 3(3); that there was no agreement between the appellant and/or its office bearers and members for increasing the truck freight by 15% and in the absence of any evidence direct or circumstantial, a finding about violation of Section 3(3)(a) could not have been recorded; that as a matter of fact the freight was not increased by 15% across the

country; that the specific stand taken by the appellant and its members that truck fares are directly dependent upon the truck operating costs, i.e., diesel price, toll tax, cost of tyre, enroute expenses, driver's salary, truck maintenance cost, insurance, route permits costs, RTO expenses, labour charges i.e. loading and unloading was altogether ignored and that both the reports are not only based on surmises and conjectures but are contradictory.

34. The Commission heard the parties and passed the impugned order. In paragraph 28 of its order the Commission observed that even though the appellant may not have issued written circular to the members exhorting them to increase the freight rates, an inference to that effect can be recorded on the basis of the other material which may indicate concerted action. In paragraphs 29 and 30 the Commission referred to the press release issued on 14.09.2012 and the statements made by Shri Bal Maklit Singh and Shri Gurinder Pal Singh and observed :

“31. It can be noticed that the statements of these two different officers of AIMTC given at two different locations (Mumbai and Delhi) on almost similar lines were reported by the media in a similar manner. It is difficult to accept that such similar statements containing identical signals could be issued by two very senior and responsible officials of the association without any prior consultations or mandate of the association. This could not have been the situation unless there has been some form of communication or discussion amongst the members of the

association resulting into such statements through these officials. Thus, it is evident that there was a meeting of mind amongst the members of the association to fix/increase the freight rates consequent upon hike in diesel prices.

32. The Commission also finds no force in the bald denials on behalf of AIMTC disputing such statements in as much as it has not been shown by these two officials of the association that they ever protested such reporting in the media which have now been described as misleading. Such silence on their part is particularly beyond comprehension in as much as previously the association has been restrained by the MRTP Commission from indulging in such type of conduct and as such these officials ought to have been sufficiently educated about the gravity of the reporting in the media which was attributed to them. Had they not issued such statements, in the normal course of behavior, they would have strongly objected to such reporting as the consequences of such conduct are well known.

34. On a careful consideration of the matter, the Commission is of considered opinion that the plea is purely disingenuous. It is an admitted position that AIMTC is an apex body of transporters (both cargo and passenger) serving the industry for the last about 76 years representing approximately 75 Lac truckers and

approximately 40 lakhs bus, tourist taxi and maxi cab operators. It is also an umbrella body covering over 2500 taluka, district and state level federations and transport associations. In this backdrop, any signal coming from the highest officials of the association has a great persuasive effect which, as will be shown later, has also translated into action. In any event, under the competition law any agreement including practice or decision which causes or is likely to cause appreciable adverse effect on competition is frowned upon. The question whether such a decision was actually carried out or implemented is beside the point, though this aspect may have some bearing while quantifying the penalties upon the defaulting entities. Thus, though the Commission is of opinion that the decisions and directions made or issued by AIMTC not only have a great persuasive value due to its pan-India representative character but also in fact were acted upon by the members of the association, as will be shown in the order.”

35. In paragraph 37, the Commission referred to the press statement issued by Shri Bal Malkit Singh on 18.09.2012 and observed :

“38. From the tenor of the press release, it is obvious that AIMTC, which described itself as “mother body” of road transport fraternity in India was calling emergency meetings and taking decisions to suspend operations pan-

India. In such a scenario, it is futile for the association to contend that its decisions do not have any binding value for its members and it is purely a non-political, non-religious and non-profitable organization committed to work for the development of road transport and for the welfare of the people associated with this industry.

43. The Commission also observes that the print and electronic media also became an easy purveyor of the anti-competitive conduct resorted to by AIMTC in as much as instead of issuing circulars calling upon the members to increase the freight rates, AIMTC changed its tack by issuing press releases through a news agency reflecting its intent along with briefings given by the senior officials of the association to the media to clarify the penumbra in the press release *i.e.* fixing of price *etc.* In fact, such *modus operandi* adopted by AIMTC was laid bare by Pondicherry Goods Transporters' Association - a life member of AIMTC - in the documents filed before the Commission. It was categorically mentioned therein that the association acts and operates or suspends business as per the guidelines issued by AIMTC through media/ press and instructions given over phone. For felicity of reference, the relevant para of the reply dated 30.10.2014 of Pondicherry Goods Transporters' Association may be noticed:

We act or operate or suspend our business as per the guidelines given by AIMTC through Media/ Press and their instructions overphone.

We have consulted with the neighbor Association regarding increase in diesel price by the oil companies period from 13.09.2012 to 30.09.2012 and decided to act as per AIMTC guidelines.

We have directed our members regarding diesel price increase and advised to increase the rates in freight competitively and instructed the Transport annual contract carriers to appeal their customers to little more freight since the some members are operating with huge loss because of the diesel increase.

44. Such a categorical admission by one of the life members of AIMTC completely belies the stand taken by AIMTC that its decisions are not binding upon the members and it is purely a non-political, non-religious and non-profitable organization committed to work for the development of road transport and for the welfare of the people associated with this industry. In such a scenario, it is not difficult to envisage that the situation cannot be any different in respect of other member associations. Resultantly, the Commission has no hesitation in holding that AIMTC through its press releases/ media briefings/ telephone

calls was instrumental in persuading its member associations to fix freight rates. It is also apparent that members associations were in touch with each other to discuss the issue of increase of freight rates and also directed their respective member to act accordingly. Such collusive and concerted practices distorted the market dynamics and led the truckers to increase the prices through the decisions of associations instead of pricing the services through the market forces of demand and supply.

45. In view of the above discussion, the Commission is of opinion that AIMTC through its impugned act/ conduct has contravened the provisions of section 3(3)(a) read with section 3(1) of the Act, as detailed above."

36. On the basis of the above conclusions, the Commission passed a cease and desist order against the appellant and imposed penalty @ 10% of the average turnover of the last three years.

37. Shri Harpreet Singh, learned counsel for the appellant argued that the impugned order is liable to be set-aside because the Commission mechanically approved the findings and conclusions recorded by the Addl. DG without independently considering the material collected during the investigation and objections filed by the appellant. Learned counsel extensively referred to the two reports submitted by the Addl. DG and argued that the findings and conclusion recorded by him that the appellant had acted in violation of Section 3(3)(a) are liable to be declared as perverse because the same are based on the uncorroborated media reports and

unfounded presumptions and assumptions. Learned counsel emphasised that the Addl. DG and the Commission have completely misread the press releases issued on 14.09.2012 and 18.09.2012 and the responses given by Shri BalMalkit Singh, Shri Kultaran Singh and Shri Gurinder Pal Singh to the media queries. He submitted that neither the appellant had taken any decision nor its office-bearers had given any statement to the media, which may suggest that the transporters were directed to increase the freight charges by 15%. He relied upon the charts contained in paragraph 4.66 of investigation report dated 11.12.2013 and paragraph 5.7 of supplementary investigation report dated 14.07.2014 to show that the truck operators had not increased the fare by 15% across the board. Learned counsel pointed out that while in some cases the fare had not at all been increased, in some cases it was increased upto 5%, in some other cases between 5 to 15% and in an isolate case it was increased by 51% on a particular route and submitted that the investigating officer and the Commission committed serious error by overlooking the fact that the truckers had not increased the freight by 15%. Shri Harpreet Singh also criticised the approach adopted by the investigating officer in considering the replies submitted by the transport companies/truck operators in response to the notices issued under Section 36(2) read with Section 41(2) by pointing out that while taking cognisance of the so-called identical nature of the replies given by about 20 transporter companies, he overlooked the replies given by the remaining 30 transport companies in response to the notices issued in 2013 and 88 transport companies, who responded to the notices issued in April/May, 2014. Learned counsel also criticised the impugned order on the ground that the Commission has completely misread the statements given by the President and the Spokesperson to the media and selective

consideration of the reply given by one of the transport associations, namely, Pondicherry Goods Transport Goods Transport Association completely ignoring the replies submitted by more than two dozens of transport associations.

38. Shri S.P. Singh, representative of Respondent No.1 and Shri Samar Bansal, learned counsel for the Commission supported the impugned order and argued that the Commission did not commit any error by approving the findings and conclusions recorded by the Addl. DG in the main as well as in the supplementary report. Shri Bansal referred to the definition of the term 'agreement' contained in Section 2(b) of the Act and Section 3, which deals with anti-competitive agreements, relied upon the judgments in Technip SA Vs. SMS Holdings (P) Ltd. & Others [2005] 5 SCC 465, Registrar of Restrictive Trading Agreements Vs. W.H. Smith & Son Ltd. [1969] 3 AllER 1065, Motion Pictures Association, Delhi Vs. Reliance Big Entertainment (Competition Appellate Tribunal, Order dated 17.05.2013 in Appeal No.69 of 2012), International Cylinder (P) Ltd. Vs. Competition Commission of India, 2014 CompLR 0184 (CCI), Sodhi Transport Co. & Ors. Vs. State of U.P. & Ors. [1986] 2 SCC 486, Cimeteries CBR SA Vs. Commission (T-25/95 etc.) [2000] ECR II-491, IAZ International Belgium NV Vs. Commission (96/82) [1983] ECR 3369 as also Guidelines on the application of Article 81(3) of the Treaty, Official Journal of the European Union (2004/C 101/08) and argued that even though there was no direct evidence to show that the appellant had issued any circular or given instructions to its members to hike the truck freight by 15%, the media reports and identical replies given by various transport companies were rightly relied upon by the Addl. DG and the Commission for holding that the appellant had manipulated increase in

the freight by 15%. Shri S.P. Singh and Shri Samar Bansal laid considerable emphasis on order dated 31.08.2006 [RTPE No. 3/2000, The Director General (I&R) Vs. M/s. All India Motor Transport Congress] passed by the erstwhile Monopolies and Restrictive Trade Practices Commission against the appellant as also the apology tendered by it before the Tribunal on 10.05.2011 [Contempt 04/2009, RTPE 03/2000 – DG(I&R) Vs. Bal Malkit Singh] and argued that the appellant has been rightly penalized for its anti-competitive conduct because in the past also it had indulged in similar practice by manipulating hike in the truck freight in the garb of increase in the diesel price. Respondents Nos. 1 and 2 also filed written submissions on 09.03.2016 and 15.03.2016.

39. We have considered the respective arguments and carefully perused the entire record including the written submissions filed by Respondent Nos.1 and 2. We have also gone through the judicial precedents relied upon by learned counsel for Respondent No. 2.

40. The questions which arise for consideration in this case are whether the uncorroborated media reports, the so-called admissions contained in the media interviews given by the office-bearers of the appellant about the hike in truck freight and the alleged identical replies filed by 20 transporters/transport companies in response to the notice issued under Section 36(2) read with Section 41(2) could be made basis for recording a finding that the appellant had manipulated increase in the truck freight by 15% as a sequel to hike in diesel price by Rs. 5/- per litre and thereby acted in violation of Section 3(3)(a) completely ignoring the statistics collected by the investigating officers, which revealed that the truck freight was increased between 0% to 5% on majority of routes, while on some routes it

was increased between 5% to 10% and only on few routes it was increased by 15% or more and whether the identical nature of the replies given by some transport companies/transport associations could lead to an inference that they had met before responding to the notices issued under Section 36(2) read with Section 41(2) and this amounts to cartel formation.

41. Section 2(b) and Section 3(1), (2) and (3) of the Act, which have bearing on the decision of the aforesaid questions, read as under :

“Sec. 2(b) “agreement” includes any arrangement or understanding or action in concert,—

- (i) whether or not, such arrangement, understanding or action is formal or in writing; or
- (ii) whether or not such arrangement, understanding or action is intended to be enforceable by legal proceedings.”

Sec. 3. Anti-competitive agreements.—(1) No enterprise or association of enterprises or person or association of persons shall enter into any agreement in respect of production, supply, distribution, storage, acquisition or control of goods or provision of services, which causes or is likely to cause an appreciable adverse effect on competition within India.

(2) Any agreement entered into in contravention of the provisions contained in sub-section (1) shall be void.

(3) Any agreement entered into between enterprises or associations of enterprises or persons or associations of persons or between any person and enterprise or practice carried on, or decision taken by, any association of enterprises or association of persons, including cartels, engaged in identical or similar trade of goods or provision of services, which—

- (a) directly or indirectly determines purchase or sale prices;
- (b) limits or controls production, supply, markets, technical development, investment or provision of services;
- (c) shares the market or source of production or provision of services by way of allocation of geographical area of market, or type of goods or services, or number of customers in the market or any other similar way;
- (d) directly or indirectly results in bid rigging or collusive bidding,

shall be presumed to have an appreciable adverse effect on competition:

Provided that nothing contained in this sub-section shall apply to any agreement entered into by way of joint ventures if such agreement increases efficiency in production, supply, distribution, storage, acquisition or control of goods or provision of services.

Explanation.—For the purposes of this sub-section, “bid rigging” means any agreement, between enterprises or persons referred to in sub-section (3) engaged in identical or similar production or trading of goods or provision of services, which has the effect of eliminating or reducing competition for bids or adversely affecting or manipulating the process for bidding.”

42. The inclusive definition of the term ‘agreement’, takes within its fold all types of agreements, written or unwritten, formal or informal, and arrangement, understanding or action. The word ‘arrangement’ suggests a common course of conduct or behaviour involving some sort of communication or exchange of views between the parties, each of whom is led to expect that the other or others will act in a certain way. The essence of an arrangement is the meeting of minds or coming into accord. An arrangement may also include mutual representation by conduct, as observed in *Re-Tyre Manufacturers’ case* - [1996] 2 All ER 849. Where, however, an arrangement does not indicate that the parties to it accepted mutual rights and obligations, it would not tantamount to an arrangement – *Re - Austin Motor Car Co. Ltd.* (1957) LR 1 RP 6. Merely following a price leader and adopting the price announced by him would not imply an arrangement as it lacks mutuality. Adoption of parallel business behaviour, may be admissible as circumstantial evidence, cannot be taken to establish an arrangement and would require something more to justify such a contention – *American Tobacco Co. v. United States* [1946] 328 US 781. In *re - Mileage Conference Group of the Tyre Manufacturers Conference Ltd.*

[1979] ECR 2435, the Court of appeal explained the meaning of the word 'arrangement' in the following words :

"The law is not so subtle or unrealistic as to lead to the conclusion that while an arrangement can come into being as a result of information as to one other's intention supplied in words or writing or by a nod or wink, it cannot come into being as a result of information as to one another's intentions derived from their actual a continuing conduct towards one another. There must be an opportunity for the conduct to be observed and its implications recognized. Where all that has happened is that a number of people separately and individually have decided to try to operate a scheme which involves mutuality, it may well be that at that stage there is no arrangement. But when, thereafter, it became clear to each of them by the acts of all of them that all had decided to operate the scheme and were in fact operating it and the essence of its operation and the only basis on which it can operate rested in the acceptance of mutual obligations by all the participants towards each other, the scheme thereupon becomes an arrangement".

43. The term 'understanding' implies some sort of behavioural communication between two or more parties resulting in adoption of a particular course of conduct by them. Where a party makes a representation as to his own future conduct with the expectation and

intention that such conduct on his part will operate as an inducement to another to act in a particular way, it may not be sufficient to constitute the agreement in the ordinary sense but it certainly operates as an understanding even though the parties never actually contacted each other – *Re British Basic Slag Ltd.* [1962] LR 3 RP 179. The existence of an agreement or understanding can also be inferred from the conduct of the parties and other attending circumstances. Direct evidence may not be available to prove the existence of agreement but the same can be established from the variety of circumstantial evidence. The concurrence of parties or the consensus amongst them can be gathered from their common motive and concerted conduct.

44. The definition of the term 'agreement' in Section 2(b) may also include 'action in concert', which may be less formal than arrangement or understanding. In *CIT v. East Coast Commercial Co. Ltd.* – AIR (1967) SC 768, the Supreme Court considered what may constitute as an action in concert and observed :

“The question whether two or more persons have acted in concert has to be considered having regard to their relation etc.; their conduct and common interest and on the basis of such evidence, that it may be inferred that they must be acting in concert. Evidence of actual concerted acting is normally difficult to obtain, and is not insisted upon.”

The same view was reiterated by a three Judge Bench in *TECHNIP SA vs. SMS Holdings (P) Ltd. and others* (2005) 5 SCC 465 (this judgement has

been relied upon by Shri Bansal, learned counsel for the Commission) in which the Supreme Court interpreted the expression of 'acting in concert' used in Section 2(1)(e) of the Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 1997. The same provision was again interpreted in *Daiichi Sankyo Company Limited v. Jayaram Chigurupati and others* [2007] 7 SCC 499 by another three Judge Bench. Paragraphs 48 and 49 of the that judgement read as under :

“48. To begin with, the concept of "person acting in concert" under Regulation 2(1)(e)(1) is based on a target company on the one side, and on the other side two or more persons coming together with the shared common objective or purpose of substantial acquisition of shares etc. of the target company. Unless there is a target company, substantial acquisition of whose shares etc. is the common objective or purpose of two or more persons coming together there can be no "persons acting in concert". For, de hors the target company the idea of "persons acting in concert" is as irrelevant as a cheat with no one as victim of his deception. Two or more persons may join hands together with the shared common objective or purpose of any kind but so long as the common object and purpose is not of substantial acquisition of shares of a target company they would not comprise "persons acting in concert".

49. The other limb of the concept requires two or more persons joining together with the shared common

objective and purpose of substantial acquisition of shares, etc. of a certain target company. There can be no “persons acting in concert” unless there is a *shared common objective or purpose* between two or more persons of substantial acquisition of shares, etc. of the target company. For, dehors the element of the *shared common objective or purpose* the idea of “person acting in concert” is as meaningless as a criminal conspiracy without any agreement to commit a criminal offence. The idea of “persons acting in concert” is not about a fortuitous relationship coming into existence by accident or chance. The relationship can come into being only by design, by meeting of minds between two or more persons leading to the shared common objective or purpose of acquisition or substantial acquisition of shares, etc. of the target company. It is another matter that the common objective or purpose may be in pursuance of an agreement or an understanding, formal or informal; the acquisition of shares, etc. may be direct or indirect or the persons acting in concert may cooperate in actual acquisition of shares, etc. or they may agree to cooperate in such acquisition. Nonetheless, the element of the shared common objective or purpose is the sine qua non for the relationship of “persons acting in concert” to come into being.”

[Emphasis supplied]

45. Section 3(1) lays down that no enterprise or association of enterprises or person or association of persons shall enter into any agreement in respect of production, supply, distribution, storage, acquisition or control of goods or provision of services, which causes or is likely to cause an appreciable adverse effect on competition within India. Sub-section (2) of Section 3 declares that any agreement entered into in contravention of Section 3(1) shall be void. Sub-section (3) of Section 3 identifies four types of agreements which are presumed to have an appreciable adverse effect on competition. Clause (a) thereof says that any agreement entered into between enterprises or associations of enterprises or persons or associations of persons or between any person and enterprise or practice carried on, or decision taken by, any association of enterprises or association of persons, including cartels, engaged in identical or similar trade of goods or provision of services, which, directly or indirectly, determines purchase or sale prices shall be presumed to have an appreciable adverse effect on competition. What needs to be emphasised is that before the presumption of an appreciable adverse effect on competition envisaged in Section 3(3)(a) can be raised, there must be some cogent evidence to prove the existence of an agreement entered into between enterprise or association of enterprises or person or association of persons or between any person and enterprise or person carried on, or decision taken by, any association of enterprises or association of persons, engaged in identical or similar trade of goods or provision of services which directly or indirectly determines purchases or sale prices. If such evidence is lacking, then the party against whom the proceedings are conducted under Section 26 read with relevant provisions of the Competition Commission of India (General) Regulations, 2009 (for short, 'the Regulations) cannot be held guilty of

acting in contravention of Section 3(3)(a) and the presumption envisaged in Section 3(3) cannot be raised.

46. In the light of the above analysis of the relevant statutory provisions and interpretation of the words 'arrangement' and 'understanding' appearing in Section 2(b) of the Act, we shall consider whether the findings and conclusions recorded by the Addl. DG and approval thereof by the Commission are supported by any evidence, direct or circumstantial, or the same are based on pure assumptions and conjectures and misreading of the material/evidence collected during the investigation and the statements made by the President and Spokesperson of the appellant to the press.

47. Although in the information filed by it, Respondent No. 1 had neither made any allegation of cartelisation by the transporters/ transport companies/ transport associations nor the Commission had issued any direction for making investigation on that aspect of the matter, the Addl. DG devoted substantial time and energy to record a conclusion that there was a meeting of mind among members of the appellant to fix the price and that four associations which are members of the appellant had discussed issue relating to increase in truck rentals in several forms and decision taken in such meetings were either communicated through recorded minutes or by sending e-mails or orally and that the conduct of State associations and their office bearers by recommending increase in freight rentals subsequent to diesel price hike is actually a decision taken by the appellant and this is contrary to Section 3(3).

48. In his enthusiasm to somehow or other return a finding that the appellant, who was earlier penalised by the MRTP Commission for having issued a circular on the issue of increase of truck freight, the Addl. DG

placed undue emphasis on the so-called identity/similarity in the replies of 21 transport companies and recorded the following conclusion : *"It is certain that all of them have discussed the issue together before replying. It can also be concluded from the content of the letter that a format of reply has been prepared by one of the important member of the Association. Involvement of the OP or the members of the Executive Committee cannot be ruled out"*. (Paragraph 4.20 of report dated 11.12.2013). The Addl. DG referred to the reply of M/s. Tulsa Motor Transport, which contained a reference to the draft response posted to his office on 16.04.2013, assumed that in all probability the draft had been circulated among other members of the appellant, compared the replies of 20 other transport companies and concluded that they must have discussed the issue before replying to the notices and that they had formed a cartel (paragraphs 4.45, 4.46, 4.79 and 4.82). While doing so, the Addl. DG conveniently overlooked the replies sent by Jaipur Golden Transport Company Pvt. Ltd., Best Roadways Ltd., Special Mover, Goodwill Transport Company, TCI and GhatgePatil Transport Company in response to the notices issued on 08.02.2013 as also the replies submitted by some of the 133 transport companies to whom reminders were issued in compliance of the directive given by the Commission vide order dated 02.01.2014 and other transport companies to whom notices were issued for the first time in 2014. Most of them categorically denied receipt of any diktat/directive/instruction from or on behalf of the appellant to increase the truck freight by 15% and stated that the price of diesel is only one of the several components which determine the freight charged. For the sake of reference, the reply sent by Jaipur Golden Transport Co. Pvt. Ltd. is reproduced below :

"Ref. No. :

Dated :- 25-Apr-13

To,
The Joint Director General
Office of The Director General,
Competition Commission of India,
'B' Wing, HUDCO Vishala,
14, Bhikaji Cama Place,
New Delhi – 110066.

Subject :- Reply to notice under section 36(2) read with section 41(2) of competition ACT, 2002.

Sir,

In reference to your office notice no. F.No. DG/CCI/IW/1/24/2012/1717 dated 8th Feb 2013. Please find enclosed our submissions/reply as under :-

1. Yes, we are the member of AIMTC and Delhi goods transporters association.
2. We had not received any direction from the association for increase/decrease in freight subsequent to corresponding increase/decrease in diesel prices.
3. We have already mentioned that we do not receive any directions from the association hence question of binding does not arise.
4. No action has been taken against us by the association.
5. We do not know if any litigation is pending against our association. You can directly confirm this from the association.
6. Regarding increase/decrease in booking rates subsequent to hike in diesel prices we may bring to

your kind attention that our company caters the need of small traders and increase / decrease in booking rates depends on so many factors as like increase in diesel prices, toll taxes, cost of trucks, truck freight payable to truck owners, salary of the staff/drivers, Rent of godowns, Electricity & water charges etc., however we are enclosing rates for respective routes as asked for in Annexure attached.

7. We have already submitted that booking rates increase/decrease depends on so many factors there is no fix standard method for increase in rates and all depends on market position and competition in the market.

Hope all the queries asked by your office have been provided.

In case of any clarity please call/mail at our office.

Thanking you,

Yours faithfully,

For Jaipur Golden Transport Co. Pvt. Ltd.

(Rajeev Sharma)

Mob. : 09310926844"

[Underlining is ours]

49. The replies submitted by other transport companies, which have not at all been adverted to by the Addl. DG were substantially similar to the reply given by M/s. Jaipur Golden Transport Co. Pvt. Ltd. They too had denied the receipt of any directive or instruction from the appellant for increase of truck freight/rental by 15% as a consequence of hike in diesel price by the Oil Companies. The reason why the Addl. DG did not consider

these replies appears to be that the same would not have supported the imaginary conclusion recorded by him that the transport companies had discussed the issue together before submitting reply to the notices issued under Section 36(2) read with Section 41(2) and reached an understanding under the leadership of the appellant to fix the truck freight as a result of increase in the diesel price.

50. It is also significant to note that even M/s. Tulsa Motor Transport had stated that no direction was issued by the appellant for increase/ decrease in freight subsequent to corresponding increase/ decrease in diesel price in the last two years and that the rentals are governed by forces of demand and supply at a given point of time and sometimes the vehicles have to be run in loss just to sustain the business with the hope that the same will be covered subsequently. This shows that the Addl. DG had relied upon the solitary factor of similarity in the replies of some transport companies for recording a finding that they had meeting of mind or they had formed cartel and that involvement of the appellant or the members of the Executive Committee cannot be ruled out.

51. The manner in which the Addl. DG selectively referred to the replies of some transport companies can easily lead to an inference that he had indulged in cherry picking and this appears to be the reason why in the reply to this appeal Respondent No.2 has not ventured to offer any cogent justification regarding formation of a cartel among the members of the appellant and their having increased the price in terms of the directives issued by the latter.

52. The issue deserves to be considered from another angle. The observation of the Addl. DG that the draft reply of M/s. Tulsa Motor

Transport had, in all probability been circulated among other members is based on pure conjecture. In exercise of the powers vested in him under Section 26 read with Regulations 41 and 42, the Addl. DG could have summoned the representative of M/s. Tulsa Motor Transport and directed him to produce the relevant record to find out whether the draft reply had been sent to the other transport companies. He could have also summoned the representatives of 20 other transport companies to which reference has been made in paragraph 4.16 of report dated 11.12.2013 and confronted them with the alleged similarity in their replies and also asked whether any draft was received from M/s. Tulsa Motor Transport at the instance of the appellant. The parties to whom such notices were issued were duty bound to give reply because their failure to do so would have visited them with penalty. However, for no explicable reason, the Addl. DG did not invoke the relevant statutory provisions to find out whether M/s. Tulsa Motor Transport had, in fact, sent the draft reply to other transport companies so as to enable them to take similar stand and recorded observations adverse to the appellant by making a baseless assumption that the draft reply was circulated by M/s. Tulsa Motor Transport.

53. Another factor which influenced the Addl. DG in recording a finding adverse to the appellant was the failure of large number of transport companies/ transporters to respond to the notices issued under Section 36(2) read with Section 41. He took umbrage of this attitude of the members of the appellant and presumed that they had done so after discussing the matter together. In our considered view, failure of the transporters/ transport companies to respond to the notice issued by the Addl. DG cannot be attributed to the appellant and in any case, nothing

prevented the Addl. DG from taking recourse to the relevant provisions of the Act and Regulations against those who failed to answer the notices issued under Section 36(2) read with Section 41(2).

54. *Dehors* what has been observed above, we are convinced that substantial similarity in the reply sent by 21 transport companies or failure of large number of transporters/transport companies to respond to the notices issued under Section 36(2) read with Section 41(2), cannot lead to an inference that the appellant had issued any directive or command to the transporters/transport companies to increase freight by 15%. The allegation contained in the information filed by Respondent No.1 was against the appellant, who was accused of having uniformly increased freight by 15% with effect from 14.09.2012 on account of hike in diesel price by Rs.5/- per litre. This was the backdrop in which order dated 10.01.2013 was passed by the Commission under Section 26(1). Therefore, in the absence of any evidence, direct or circumstantial to show that M/s. Tulsa Motor Transport and others had filed similar replies at the instance of the appellant, the Addl. DG and the Commission were not at all justified in recording a finding against the appellant.

55. Before parting with this aspect of the case, we are constrained to observe that the observation contained in the last two lines of paragraph 4.20 of report dated 11.12.2013 was nothing but figment of imagination of the Addl. DG. There was absolutely no evidence whatsoever which may even suggest that the appellant or any member of the Executive Committee was involved in the circulation of so-called draft reply prepared by M/s. Tulsa Motor Transport or drafting of reply submitted by the transport company in response to the notices issued under Section 36(2) read with

Section 41(2) and yet the Addl. DG considered it proper to record the baseless observation.

56. The same error has been repeated by the Addl. DG and by the Commission while considering the replies given by various associations. In the supplementary investigation report, the Addl. DG did make a reference to the replies sent by Chennai Goods Transport Association, Coimbatore Lorry owners Association, M/s. Posta Goods Transport Association, MahobaChhaterpur Bus Association, Jaipur Transport Operators Association, The Calcutta Good Transport Association, Raipur Interstate Goods Transport Association, Truck Owners Association, Choudwar, Hyderabad Good Transport Association, Maharashtra Heavy Vehicle & Interstate Container Operator's Association, Federation of Karnataka Lorry Owner's Association, All North East Commercial Truck owners and Operators Association, Chandigarh Transport Association, Bombay Goods Transport Association, The Garhwal Motor Owner's Union Ltd., Delhi Goods Transport Association, The Delhi Motor Truck Owners Union, The DelhiTransporter's Association, All Maharashtra Truck Owners & Goods Transport Association, Maharashtra Transporters Welfare Association, Allahabad Motor Operators and Transport Union, CMDA Truck Terminal Complex Welfare Association, Chennai, Akhil Gujarat PravasiVahanSanchalakMahamandal, Federation of Bombay Motor Transport Operators, Navi Mumbai, Agra Retail Truck Transport Association, Agra, Association of Transporters, Pune (Regd.), Transport Nagar Aslali Ahmedabad, Kumayun Motor Operators Cooperative Union Ltd., Nainital, Cuttack Truck Owners' Association, Rajasthan Truck Transport Operators' Union, The Bombay Transport Cooperative Consumers

Society Ltd., Orissa State Truck Owners' Federation, Navi Mumbai Transport Association and Lorry Owners Welfare Federation, Kerala State but did not deal with any of them. As far as the Commission is concerned, it did not even advert to the replies given by the associations except Pondicherry Goods Transporters' Association, which it thought would support the finding that the appellant had contravened Section 3(3)(a). For the sake of reference, these replies are reproduced below :

"Chennai Goods Transport Association

- No press release issued by the Association during the period from 01.09.12 to 30.09.12.
- No specific directions from AIMTC during the period from 13.09.2012 to 30.09.2012 for hike in truck rentals consequent to increase in Diesel price by Oil Companies on 13.09.2012. Till date no kilometre freight is fixed by any agency including the Govt.
- No directions issued by the Association to its members during the period for hike in truck rentals. The Association has no control over its members with regard to fixing truck rentals.
- In protest to steep hike in Diesel price, sat on Dharna for two hours on 18.09.2012 to draw the attention of the public.
- The Association received message from AIMTC for Bharat Bandh, but the Association neither participated nor rejected the Bandh, simply

forwarded the message to its members with the request to take adequate precautions before plying their vehicles due to safety of the materials, truck and the driver.

From the copies of e-mail of the Secretary of the Association furnished, the following details have been observed.

- Called meeting of the members of the Association on 18.09.2012 against the hike of diesel price.
- Mail dated 18.09.12 at 5.29 p.m. sent to all members to suspend one day operation from midnight of 19.09.2012 in protest of hike in diesel price.
- Mail dated 27.09.12 at 10.29 A.M. sent to all members stating that the effective increase in the diesel price was 12.5% and therefore, directed its members to increase the rate at least by 10% and convince the customers.

Coimbatore Lorry Owners Association

- The correspondence/ minutes / Press releases submitted are in Tamil language.
- No e-mail/correspondence exchanged with members between the period from 01.09.12 to 31.12.12.

- No correspondence/e-mail exchanged with the AIMTC between the period from 01.09.12 to 31.12.12.
- No press meeting conducted by the Association during the period from 01.09.12 to 30.09.12.
- No specific directions for hike in truck rentals subsequent to hike in Diesel price by Oil Companies were received from AIMTC during the period from 13.09.2012 to 30.09.2012.
- No directions issued by the Association to its members during the period for hike in truck rentals.
- No strike called by the Association.
- Not participated in the Bharat Bandh on 20.09.12.

M/s. Posta Goods Transport Association

- No meeting was held on the issue during the period from April, 2012 to 31st December, 2012.
- No e-mail/correspondence exchanged with members between the period from 01.09.12 to 31.12.12.
- No correspondence/e-mail exchanged with the AIMTC between the period from 01.09.12 to 31.12.12.

- No circulars/press release /notifications etc. were issued by the Association during the period 01.09.12 to 31.12.12.
- No press briefing on any matter by the Association during the period from 01.09.12 to 30.09.12.
- No specific directions were received from AIMTC during the period from 13.09.2012 to 30.09.2012 for hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12.
- No directions issued by the Association to its members during the period for hike in truck rentals.
- No strike called by the Association.
- Not participated in the Bharat Bandh on 20.09.12.

MAHOBA CHHATERPUR BUS ASSOCIATION

- Bus Association – not applicable.

JAIPUR TRANSPORT OPERATORS ASSOCIATION

- No correspondence/e-mail exchanged. Copies of press release issued by AIMTC were sent to the Association.

- On the directions of the AIMTC, the Association further issued instructions to its members to participate in the Bandh on 20.09.12.
- The Association issued press release to roll back the increase in the price of diesel on 14.09.12.

The Calcutta Good Transport Association

- AIMTC issued no directions for freight hike subsequent to diesel price hike by the oil companies on 13.09.12.
- Supported Bharat Bandh on 20.09.12 along with AIMTC.

Raipur Interstate Goods Transport Association

- During the period from 01.09.12 to 31.12.12, no correspondence / e-mail exchanged between the Association and AIMTC.
- No correspondence/e-mail exchanged with the members during the period from 01.09.12 to 31.12.12.
- The Association had not briefed any press, no press release, notification etc. was issued.
- No specific directions issued by AIMTC to the Association for hike in truck rentals subsequent to increase in diesel price by Oil Companies.

- No directions issued by members for hike in truck rentals subsequent to increase in diesel price by Oil Companies.
- Association had not called any strike, demonstration etc. also but submitted representations to any Govt. organisation subsequent to increase in diesel price.
- Had not participated in the Bharat Bandh and also not issued any directions to its members.

Truck Owners Association, Choudwar

- No correspondence/email exchanged with the AIMTC between the periods from 01.09.12 to 31.12.12.
- No correspondence/e-mail exchanged with the members between the period from 01.09.12 to 31.12.12.
- No circulars/press release /notifications etc. were issued by the Association during the period 01.09.12 to 31.12.12.
- No press briefing on any matter by the Association during the period from 01.09.12 to 30.09.12.
- No specific directions were received from AIMTC during the period from 13.09.2012 to 30.09.2012 for

hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12.

- No directions issued by the Association to its members during the period for hike in truck rentals.
- No strike called by the Association.
- Supported the Bharat Bandh on 20.09.12 called by opposition parties.

Hyderabad Good Transport Association

- No correspondence/email exchanged with the AIMTC between the period from 01.09.12 to 31.12.12.
- Correspondence/e-mail exchanged with the members during the period from 01.09.12 to 31.12.12 found to be attached not related to the truck rentals.
- Circulars issued not related to the fixation of truck rentals.
- No press briefing on any matter by the Association during the period from 01.09.12 to 30.09.12.
- No directions were received from AIMTC during the period from 13.09.2012 to 30.09.2012 for hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12.

- No directions issued by the Association to its members during the period for hike in truck rentals.
- No strike/demonstration/no representation submitted to any organisation by the Association subsequent to increase in diesel price on 13.09.12.
- Not participated in the Bharat Bandh on 20.09.12 and also not issued any directions to its members in the matter.

Maharashtra Heavy Vehicle & Interstate Container Operator's Association

- 7 meetings held between April, 2012 to 31st December, 2012.
- The Association in its meeting held on 14.09.2012 "Resolved unanimously, that demand an increase in freight rates by 20% for LOCAL DISTRICT MOVEMENTS AND 15% FOR OTHER DISTRICT AND INTERSTATE MOVEMENTS through trade publications like Daily Shipping times, Maritime India & Exim India."
- No correspondence/ e-mail exchanged with the AIMTC between the periods from 01.09.12 to 31.12.12.

- No Correspondence/e-mail exchanged with the members during the period from 01.09.12 to 31.12.12 related to the truck rentals.
- Not received any specific directions from AIMTC during the period from 13.09.2012 to 30.09.2012 for hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12. But a general idea that the freight rates would increase considering the increase in input cost.
- No directions issued by the Association to its members during the period for hike in truck rentals, but appealed to the trade for a general increase in freight rate due to increase in various input costs of transportation.
- Not called any strike/demonstration against the hike in diesel price on 13.09.12.
- Not participated in the Bharat Bandh on 20.09.12.

Federation of Karnataka Lorry Owner's Association

- The minutes of the meeting held are in Kannada language.
- No correspondence/e-mail exchanged with the AIMTC between the periods from 01.09.12 to 31.12.12.

- No Correspondence/e-mail exchanged with the members during the period from 01.09.12 to 31.12.12 related to the truck rentals.
- No circulars/press release /notifications etc. were issued by the Association during the period 01.09.12 to 31.12.12.
- No press briefing on any matter by the Association during the period from 01.09.12 to 30.09.12.
- Circulars issued not related to the fixation of truck rentals.
- No press briefing on any matter by the Association during the period from 01.09.12 to 30.09.12.
- No specific directions were received from AIMTC during the period from 13.09.2012 to 30.09.2012 for hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12.
- No directions issued by the Association to its members during the period for hike in truck rentals.
- No strike/demonstration called by the Association subsequent to increase in diesel price.

- Not participated in the Bharat Bandh on 20.09.12 nor did issue directions to its members in this regard."

All North East Commercial Truck Owners and Operators Association

- No official meeting held on verbal meeting held of which there is no record.
- No correspondence/e-mail exchanged with the AIMTC between the periods from 01.09.12 to 31.12.12.
- No Correspondence/e-mail exchanged with the members during the period from 01.09.12 to 31.12.12.
- No circulars/press release /notifications etc. were issued by the Association during the period 01.09.12 to 31.12.12.
- No meeting with the press during the period from 01.09.12 to 30.09.12.
- Circulars issued not related to the fixation of truck rentals.
- No specific directions were received from AIMTC during the period from 13.09.2012 to 30.09.2012 for

hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12.

- No directions issued by the Association to its members during the period for hike in truck rentals.
- No strike/demonstration called by the Association subsequent to increase in diesel price.
- Not participated in the Bharat Bandh on 20.09.12 nor did issue directions to its members in this regard.

Chandigarh Transport Association

- In none of the minutes of the meetings the issue of truck rentals has not been found.
- The copies of correspondence/e-mail exchanged with the AIMTC between the periods from 01.09.12 to 31.12.12 have been found enclosed but none specifically mentions about fixation of the truck rentals etc.
- The copies of correspondence/e-mail exchanged with the members during the period from 01.09.12 to 31.12.12 have been found attached but none related to the truck rentals.
- No circulars/press release /notifications etc. were issued by the Association during the period 01.09.12 to 31.12.12.

- No press briefing on any matter by the Association during the period from 01.09.12 to 30.09.12.
- No specific directions were received from AIMTC during the period from 13.09.2012 to 30.09.2012 for hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12.
- No directions issued by the Association to its members during the period for hike in truck rentals.
- No strike/demonstration called by the Association subsequent to increase in diesel price and not participated in the Bharat Bandh.
- No role in fixation of truck rentals.

Bombay Goods Transport Association

- No emergency meeting held during the period from April, 2012 to 31st December, 2012 of Executive/General Body/Emergency etc.
- Only press release received by the Association from AIMTC is found to be attached. No other correspondence found attached.
- Correspondence/e-mail exchanged with the members during the period from 01.09.12 to 31.12.12 found to be minutes etc. nothing related to the truck rentals found to be attached.

- No press release was issued by the Association during the period 01.09.12 to 31.12.12.
- No specific directions were received from AIMTC during the period from 13.09.2012 to 30.09.2012 for hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12.
- No directions issued by the Association to its members during the period for hike in truck rentals.
- No strike/demonstration called by the Association subsequent to increase in diesel price. No representation submitted to Govt. organisations.
- Not supported one day Bharat Bandh on 20.09.12.

The Garhwal Motor Owner's Union Ltd.

- The company is operating only stage carriage buses since its establishment and not dealing with truck.

Delhi Goods Transport Association

- As per the minutes attached in respect of meeting held during the period from April, 2012 to 31st December, 2012, no discussion held on the issue of hike in truck rentals.
- In one of the e-mail dated 14.09.12 (10.53 A.M.), the AIMTC invited the Delhi Goods Transport

Association and Delhi Transport Association to attend the press conference held on the same day.

- Similarly, the Association received an e-mail from AIMTC to attend emergency meeting scheduled for 18.09.12 at Mumbai on the issue of hike of diesel price.
- No press release /briefing by the Association during the period 01.09.12 to 31.12.12.
- No specific directions were received from AIMTC during the period from 13.09.2012 to 30.09.2012 for hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12.
- No directions issued by the Association to its members during the period for hike in truck rentals subsequent to increase in Diesel price on 13.09.12.
- The Association did not call for strike/demonstration/submitted representation to any Govt. organisation subsequent to increase in diesel price.
- Not participated in the Bharat Bandh on 20.09.12 and no direction issued to its members in the matter.

The Delhi Motor Truck Owners Union

- As per the minutes attached in respect of meeting held during the period from April, 2012 to 31st December, 2012, no discussion held on the issue of hike in truck rentals.
- No correspondence/e-mail exchanged with the AIMTC between the periods from 01.09.12 to 31.12.12.
- No Correspondence/e-mail exchanged with the members during the period from 01.09.12 to 31.12.12.
- No circulars/press release /notifications etc. were issued by the Association during the period 01.09.12 to 31.12.12.
- No meeting with the press during the period from 01.09.12 to 30.09.12.
- No specific directions were received from AIMTC during the period from 13.09.2012 to 30.09.2012 for hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12.
- No directions issued by the Association to its members during the period for hike in truck rentals.
- Not participated in the Bharat Bandh on 20.09.12.

The Delhi Transporter's Association

- Six meetings held from April, 2012 to 31st December, 2012, as per the minutes attached, no discussion held on the issue of hike in truck rentals.
- No correspondence/e-mail relating to diesel price hike were exchanged with the members during the period from 01.09.12 to 31.12.12.
- Press release /information on meetings received by the Association from AIMTC.
- The Association issued press release during the period from 01.09.12 to 31.12.12 demanding roll back in price hike in diesel.
- No press brief done by the Association during the period from 01.09.12 to 31.12.12.
- No specific directions were received from AIMTC during the period from 13.09.2012 to 30.09.2012 for hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12.
- No directions issued by the Association to its members during the period from 13.09.12 to 20.09.12 for hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12.
- The Association did not call for strike/ demonstration/submitted representation to any

Govt. organisation subsequent to increase in diesel price.

- Not participated in the Bharat Bandh on 20.09.12.

All Maharashtra Truck Owners & Goods Transport Association

The Association informed that it is inactive since 2011, hence not in position to submit information.

Maharashtra Transporters Welfare Association

- No meeting held during the period from April, 2012 to December, 2012.
- No directions were received from AIMTC to hike the freight charges when the price subsequent to increase in Diesel price by Oil Companies on 13.09.12.
- No directions issued by the Association to its members for hike in truck rentals.
- Bharat Bandh was organised by Opposition Political Parties but the Association had not any alternative but to keep vehicles off the road.

Allahabad Motor Operators and Transport Union

- No meeting held during the period from April, 2012 to December, 2012.
- No correspondence/e-mail exchanged with the AIMTC between the periods from 01.09.12 to 31.12.12.
- No Correspondence/e-mail exchanged with the members during the period from 01.09.12 to 31.12.12.
- No circulars/press release /notifications etc. were issued by the Association during the period 01.09.12 to 31.12.12.
- No meeting with the press during the period from 01.09.12 to 30.09.12.
- No specific directions were received from AIMTC during the period from 13.09.2012 to 30.09.2012.
- No directions issued by the Association to its members during the period for hike in truck rentals.
- The Association did not call for strike/ demonstration/ submitted representation to any Govt. organisation subsequent to hike in diesel price.
- Not participated in the Bharat Bandh on 20.09.12.

CMDA Truck Terminal Complex Welfare Association,
Chennai

The Association is member with AIMTC but not involved in their activities. No concerned with the Lorry Owners problem, hike in freight rates, increases in toll tariff etc.

Akhil Gujarat PravasiVahanSanchalakMahamandal

- Tow board meetings held from April, 2012 to December 31, 2012, no issue regarding price hike of diesel was taken on agenda in any of these two meetings.
- No correspondence/e-mail exchanged with the AIMTC between the periods from 01.09.12 to 31.12.12.
- Only one circular dated 01.11.2012 was issued to members.
- No circulars/press release /notifications etc. were issued by the Association during the period 01.09.12 to 31.12.12.
- No meeting with the press during the period from 01.09.12 to 30.09.12.
- No specific directions were received from AIMTC during the period from 13.09.2012 to 30.09.2012 for

hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12.

- No directions issued by the Association to its members during the period for hike in truck rentals.
- The Association did not call for strike/ demonstration/ submitted representation to any Govt. organisation subsequent to hike in diesel price.
- Not participated in the Bharat Bandh on 20.09.12.

Federation of Bombay Motor Transport Operators, Navi Mumbai

- No directions issued to Members to participate in Bharat Bandh.
- Replied all queries in negative.
- Stated that the decrease/increase in freight charges is totally dependent on demand and supply of vehicles.

Agra Retail Truck Transport Association, Agra

- The association is defunct for the last two years.

Association of Transporters, Pune (Regd.)

- Registered under charity act and are not concerned with the individual transport business.

Transport Nagar Aslali Ahmedabad, Ahmedabad

- The Associations is managing godowns of transports and providing facilities like road, light and water supply to members and not involved in direct booking of goods transport service etc.

Kumayun Motor Operators Cooperative Union Ltd.,
Nainital

- Eleven meetings held from April, 2012 to December 31, 2012. In one of the meetings held on 15.09.2012 the issue regarding price hike of diesel, the increased freight rate of trucks in the market was also reviewed and the increase in rates were approved unanimously. It was also decided that in case the prices of diesel are reduced, the freight rates will again be reduced after review.
- Only journal of AIMTC was received during the period.
- All other queries are answered in negative.

Cuttack Truck Owners' Association

- No Managing Committee meetings held from April, 2012 to December 31, 2012.
- No correspondence/e-mail exchanged with the AIMTC between the periods from 01.09.12 to 31.12.12.
- No circulars/press release /notifications etc. were issued by the Association during the period 01.09.12 to 31.12.12.
- No meeting with the press during the period from 01.09.12 to 30.09.12.
- No specific directions were received from AIMTC during the period from 13.09.2012 to 30.09.2012 for hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12.
- No directions issued by the Association to its members during the period for hike in truck rentals.
- The Association did not call for strike/ demonstration/ submitted representation to any Govt. organisation subsequent to hike in diesel price.
- Not participated in the Bharat Bandh on 20.09.12.

Rajasthan Truck Transport Operators' Union

- No specific direction were received from AIMTC during the period from 13.09.2012 to 30.09.2012.
- No directions issued by the Association to its members during the period for hike in truck rentals.
- The Association called a meeting of its members and opposed the hike in diesel prices.
- The association issued directions to its members to support the Bharat Bandh called by opposition parties.

The Bombay Transport Cooperative Consumers Society Ltd.

- Not engaged in the freight booking etc. It's a cooperative consumer society having petrol pumps etc.

Orissa State Truck Owners' Federation

- No Managing Committee meetings held from April, 2012 to December 31, 2012.
- No correspondence/e-mail exchanged with the AIMTC between the periods from 01.09.12 to 31.12.12 except one letter received from AIMTC on 31.12.2012 regarding appointment as member.

- No circulars/press release /notifications etc. were issued by the Association during the period 01.09.12 to 31.12.12.
- No meeting with the press during the period from 01.09.12 to 30.09.12.
- No directions were received from AIMTC during the period from 13.09.2012 to 30.09.2012 for hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12.
- No directions issued by the Federation to its members during the period for hike in truck rentals.
- The Association did not call for strike/ demonstration/ submitted representation to any Govt. organisation subsequent to hike in diesel price. Only submitted representation to the State Govt. for revision of truck freight.
- Not participated in the Bharat Bandh on 20.09.12.

Navi Mumbai Transport Association

- Conducted Committee meetings on 26.05.2012, 29.09.2012 and 22.12.2012.
- No correspondence/e-mail exchanged with the AIMTC between the periods from 01.09.12 to 31.12.12.

- No circulars/press release /notifications etc. were issued by the Association during the period 01.09.12 to 31.12.12.
- Briefed local press during the period from 01.09.12 to 30.09.12.
- No directions were received from AIMTC during the period from 13.09.2012 to 30.09.2012 for hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12.
- Orally advised members whoever approached to increase rates to bear minimum possible to set off the HSD price rise.
- The Association did not call for strike/ demonstration/ submitted representation to any Govt. organisation subsequent to hike in diesel price. Only submitted representation to the State Govt. for revision of truck freight.
- Not participated in the Bharat Bandh on 20.09.12 but offered moral support.

Lorry Owners Welfare Federation, Kerala State

- Minutes of Executive Committee/ General Body or Emergency meetings held from April, 2012 to December 31, 2012. Minutes are in Malayalam language.

- No correspondence/e-mail exchanged with the AIMTC between the periods from 01.09.12 to 31.12.12.
- No communication exchanged with the members during the period from 01.09.12 to 31.12.12.
- No circulars/press release /notifications etc. were issued by the Association during the period 01.09.12 to 31.12.12.
- No meeting with the press during the period from 01.09.12 to 30.09.12.
- No specific directions were received from AIMTC during the period from 13.09.2012 to 30.09.2012 for hike in truck rentals subsequent to increase in Diesel price by Oil Companies on 13.09.12.
- No directions issued by the Association to its members during the period from 13.09.2012 to 30.09.2012 for hike in truck rentals consequent to diesel price hike.
- The Association did not call for strike/ demonstration/ submitted representation to any Govt. organisation subsequent to hike in diesel price.
- Not participated in the Bharat Bandh on 20.09.12.”

[Underlining is ours]

57. From the tenor of these replies, it is crystal clear that they had been asked by the Addl. DG to give reply on the following points :

- (i) Whether any correspondence in the form of letters or email was exchanged with the appellant during the period from 01.09.2012 to 31.12.2012?
- (ii) Whether any direction was issued by the appellant between 13.09.2012 to 30.09.2012 for hike in truck rentals subsequent to increase in diesel price by Oil Companies with effect from 13.09.2012?
- (iii) Whether the concerned association had issued any directive to their members to increase the price and exhorted them to go on strike or participate in Bharat bandh?

Almost all associations denied exchange of correspondence with the appellant between 01.09.2012 to 31.12.2012 or receipt of any directive from the appellant from 13.09.2012 to 30.09.2012. They denied having issued any direction to their respective members for increase of truck rentals or for going on strike or participation in Bharat bandh. Even Pondicherry Goods Transporters' Association, whose response has been selectively relied upon by the Commission in support of its finding that the appellant was guilty of acting in contravention of Section 3(3)(a) merely mentioned that it acts/operates or dispenses its business as per the guidelines of the appellant through media/press and instructions over phone. However, that association also did not mention that any directive was given by the

appellant between 13.09.2012 and 30.09.2012 to increase the freight by 15%. Rather, that association stated that it had consulted with the neighbour associations regarding increase in diesel price and decided to act as per AIMTC guidelines. Unfortunately, the Addl. DG and the Commission did not even think it necessary to consider the replies given by more than two dozen associations before recording a finding that the appellant had issued directive for increase in truck freight by 15% as a sequel to hike in diesel price with effect from the midnight of 13.09.2012. The only possible explanation for non-consideration of the replies given by majority of transporters/ transport companies/ transport associations could be that the same would not have supported the arbitrary conclusion based on pure surmises and conjectures.

58. What is most surprising is that while deciding the allegation that the appellant had acted in contravention of Section 3(3)(a), the Addl. DG and the Commission did not take the trouble of examining the statistics furnished by various transporters/ transport companies operating on different routes about the actual impact of hike in diesel price on their operations. In para 4.66 of the first report, the Addl. DG prepared a table based on the hike in the freight on 51 routes. A perusal thereof shows that on 14 routes the range of increase was 0–5%. On 16 routes, it was between 5.1 – 10%. On 7 routes, it was 10.1 – 15% and on 14 routes it was above 15%. Only on one route operated by Jaipur Golden Transport Company Pvt. Ltd. i.e. Delhi – Kolkata, the freight was increased by 51.35%. Strangely, the Addl. DG relied upon the solitary instance of more than 15% increase for observing that increase in some cases was upto 51%. From the statistics mentioned in the table contained in para 5.7 of the supplementary

report, it is evident that out of the 130 routes, the increase was between 0.5% on 81 routes, 5-10% on 24 routes, 10-15% on 8 routes and more than 15% on 17 routes. Of course, in paragraph 5.9 the Addl. DG treated the increase 0-5% at 81 routes, in conjunction with other increase as significant hike in the freight rate and again repeated that there was steep increase in some cases upto 51%. On its part, the Commission did not elude the statistics showing the actual increase in the freight and approved the findings of the Addl. DG without considering the objections field by the appellant and without assigning any cogent reason.

59. In our opinion, in the absence of any evidence to show that the truck freight/rental was increased by the transporters by 15% across the board with effect from 14.09.2012 or immediately thereafter, no person of ordinary prudence could have recorded a finding that the allegation of contravention of Section 3(3)(a) by the appellant stands proved.

60. We may now advert to the two press releases issued by the office bearers of the appellant on 14.09.2012 and 18.09.2012. A reading thereof shows that the appellant had only expressed its resentment against the hike in diesel price and expressed that road transport industry will not be able to absorb the said hike. There is nothing in the two press releases from which one could infer that the appellant had exhorted its members to increase the truck freight by 15% in the light of hike in diesel price. It is unfortunate that the Addl. DG and the Commission have misconstrued the press releases as a clarion call given by the appellant for increase in truck freight by 15%.

61. In order to justify their conclusion that the appellant had issued a direction to its members to increase the freight by 15%, the Addl. DG and the Commission heavily relied on the reports published in various newspapers and the so-called admission contained in the statements made by the President of the Association, Shri Bal Malkit Singh and the Spokesperson, Shri Gurinder Pal Singh. The sanctity of news published in the print media is required to be judged in the backdrop of the stark reality that in last many years the print as well as electronic media has developed a culture of sensationalising various issues by giving spicy and misleading headlines to any news. The sole object of doing so is to increase the viewership or saleability. In a number of cases, the news is subsequently found to be false or baseless but by that time damage is done to the individuals or to the institutions qua whom such news is published or shown in the TV channels. The diversity in the headings of the news published in 10 newspapers about the increase in the truck freight/rentals and the appellant's decision to suspend the operation for one day is self-speaking. Four of them carried the headline "diesel price hike will push freight charges by 15%'. The source of this news was attributed to the appellant. One report carried a headline that the freight was hiked by 18%. One newspaper carried a story of alleged threat of indefinite strike by truckers body and the other talked about the suspension of work for one day. Unfortunately, the Addl. DG and the Commission treated the news published in the papers as gospel truth and quoted the so-called admissions contained in the statements given by Shri BalMalkit Singh and Shri Gurinder Pal Singh to the press to support their conclusion that the appellant had directed its members to increase the truck freight by 15%. While doing so, they completely overlooked the assertion made by the two

office-bearers that the statements attributed to them were false and misleading. When Shri BalMalkit Singh was confronted with the statement published in some of the newspapers (Question No.7), he categorically stated that the appellant had not made any statement relating to the alleged hike in the freight and no direction was given to that effect to the members. He also mentioned that the media personnel were requested to refer to the press release. In answer to Question No.8, he stated that no threat or direction of any kind was given to the media. In answer to Question No.9, he stated that what was mentioned by him was the likely jack-up of cost of operation by 15% and difficulty in absorbing the hike. As regards, Gurinder Pal Singh, Shri BalMalkit Singh stated that he was misquoted. This aspect of the matter deserves to be highlighted by repeating the answers given by Shri BalMalkit Singh to Question Nos. 7 to 10 and additional response given to Question Nos.15 and 16. The same are asunder :

“Q.7 Please go through the printout of the coverage of the news by Indian Express, the Financial Express, IBN Live, the Economic Times etc. (as posted on their respective websites between September 14th to 19th, 2012) given to you now and submit under what circumstances such statement was made before the media personnel.

A.7 I have been shown the press statements attributed to me in IBN Live, Economic Times and Indian Express dated 18.9.12. In this connection, I would like to submit that was the biggest hike in diesel price in the history and we had given a press release

in our conference to the media which we have submitted. I was not present in the said press conference and my response to the diesel hike were given in response to telephone calls by different media persons from my office in Mumbai. I clarified to the media that as per my knowledge, in our conference we did not make any statement relating to the alleged hike of the freight although concerns on the effect of the diesel price hike on the operational cost of truckers throughout India were expressed. No directive of any type to our members regarding increase in freight was given and in this connection, I requested to media personnel to refer to our press release given after the conference to PTI.

Q8. Please submit whether the statement show to you was told to the media personnel in exact words or not?

A.8 I do not remember the exact spoken to the media as it was a spontaneous response to their questions. However, I clearly remember that no threat or directive of any kind was given to the media.

Q.9 I would like to draw your attention that each media house has quoted the same words in their press reports. Please submit with reference to your answer at Question 8.

A.9 After seeing the press reports of the three sources mentioned earlier in Question no.7, I submit that I had stated that the diesel price hike is likely to jack up our cost of operations by almost 15% and it will be difficult to absorb the hike.

Q.10. Your attention is also drawn to the press release of Business World dated 14.09.2012, wherein one of the spokesperson of your Association, Shri G.P. Singh told PTI that “we have decided to pass on the burden of increase in diesel price hike to customers. The freight charges will be increased with immediate effect by 15% across India.” Please submit.

A.10 I feel that Shri G.P. Singh was misquoted by the Press since it was contrary to the press release dated 14.09.2012 given by AIMTC which was signed by Shri G.P. Singh.

4.37 Shri Bal Malkit Singh furnished additional response to question No.15 and 16 on 23.08.2013. A copy of the same is enclosed as Anne-8.

Relevant excerpts of the response is as below :

“I with respect to Question 15, I would like to further submit that I have gone through the provisions of Section 3(1) and 3(3) of the Competition Act, 2002 (“Act”). I do not agree with the suggestion for two reasons. Firstly, no agreement or understanding was

reached between the members of AIMTC to increase the truck rentals and no directions were issued to members either by me or any official spokesman from AIMTC about any "increase in truck rentals" as quoted in the Press reports as stated before and secondly, no meeting for considering any increase of truck rentals was ever conducted by AIMTC thereafter. The emergent meeting conducted on September, 18, 2012 was only to consider and chalk out the mode of protest against the steep and unprecedented increase of diesel prices in September, 2012. My replies given to specific questions of the Press correspondents on telephone were the spontaneous reaction on "the likely impact of the diesel price hike on the industry as a whole" and the same does not amount to any "decision taken by the association within the meaning of Section 3(1) or 3(3) of the Competition Act and the same cannot, by any stretch of imagination, determine the sales price, directly or indirectly for the industry or for individual truck operators. In fact our communication to the media was through our official press release dated 14 September, 2012 in which no such decision or announcement is mentioned. A copy of the same has already been submitted by me on August 13, 2013 to the DG. Therefore, in the absence of any such decisions or

directions or agreement or understanding having been made by AIMTC with its members, there is no question of the same causing any appreciable adverse effect on competition in terms of Section 3(1) or Section 3(3) of the Act.

a) I would like to submit that various press correspondents contacted me through telephone between 13.09.2012 till 20.09.2012 for my views on “the likely impact of the diesel price hike on the industry as a whole”. In response to that I had only mentioned that the unprecedented hike in diesel prices may be anticipated to increase the truckers’ cost of operations, as Rs.5 per litre will generally constitute 15% of increase in diesel price. It was only anticipation or apprehension of likely increase which was mentioned by me and nothing about by directive on behalf of the AILMTC to its members to increase the truck rentals was mentioned. Further, I had also told the press correspondents that AIMTC had made a Press Release on 14.09.2012 (submitted to Press Trust of India) on the same issue and requested the press correspondents to follow that Press Release as the official statement of AIMTC (A copy of the AIMTC Press Release has already been submitted to you on 13.8.2013).

b) Further, I would like to submit that the AIMTC Press Release dated 14.09.2012 nowhere talks about any decision or directive given by AIMTC to its members in relation to increase in truck rentals. In fact, the Press Release nowhere talks about any statement in relation to price determination of the truck rentals.

c) AIMTC has no role in setting freight prices. Member truckers independently negotiate price with their customers and often the fares solely depends upon demand and supply constraints in the market. AIMTC being an apex body representing many State level truck unions and associations always takes up the policy related issues like Toll Price increase, insurance cost increase, Tyre cost increase, etc. with the Government on behalf of its members.

(copies of the representations made to the Government of India are enclosed as Annexure-I).

I would also like to mention an important fact that in spite of the increase in diesel price in last 5 years, the freight rates have been hardly increased and have always come down. Noticeably, though diesel prices increased by 35% in last 3 years, the truckers have not increased the freight cost since 2010 which clearly explains that AIMTC has no role in, dictating fare increase

to its members. I would also like to place on record a Media Report dated April 02, 2013 titled "Truck rentals drop by 1.5% in March" published by The Business Standard which clearly state the following :

"The fiscal 2012-13 (April 2012 – March, 2013 period) has turned out to be negative for truck operators with an overall drop in truck rentals by 7-8 percent in the last four quarters as dispatches from the manufacturing sector, import-export trade and the infrastructure sector displayed negative performance leading to under-utilization of the National truck fleet.

Source : IFTRI".

(A copy of the report dated April 02, 2013 and various other media report on the same issue are enclosed as Annexure 2 (colly)

- 1 With respect to Question No.16 I would like to submit that I was aware of abovementioned order dated 31.08.2016 passed by Hon'ble MRTS Commission against AIMTC and the circular dated 28.10.1999 passed by AIMTC. I am also aware of the order passed by the Competition Appellate Tribunal (COMPAT) in the concept case no.4/2009 in which after receiving the legal advice, the direction with the withdrawal of alleged circular and an unconditional apology

was given by AIMTC. The apology was given because the AIMTC had earlier failed to deposit the penalty amount of Rs.2000/- ordered by the Hon'ble COMPAT for non-filing the affidavit of compliance with the MRTPC order dated 31.08.2006. We had no option but to tender the apology which was only with respect to the non-compliance of the Order of MRTPC against which no appeal was filed in the Supreme Court.

(b) Further, I would like to submit that the earlier case before MRTP Commission does not have any bearing on the present case since the facts and circumstances of the present case are entirely different from the old case of 1999 decided in 2006. In the present case, as stated above, in compliance with the "Cease and Desist" orders passed by the MRTP Commission in the earlier case of 2006, neither any decision or directions or agreement or understanding was made by AIMTC to all with its members and no such disputed circulars, like the earlier circular dated 28.10.1999 was issued by the AIMTC to its members after the unprecedented increase in diesel price were made by OMC's in September, 2012."

[Underlining is ours]

In his reply to Question No.3, Shri Gurinder Pal Singh also made a categorical statement that there are serious omissions in his statement, which were not carried by the media; that he had not stated that any decision was taken to increase the truck rentals by 15% across the country. He has also relied on the press release issued on 14.09.2012, which was handed over to all correspondents, who were requested not to quote him orally. The Question No.3 and its answer given by Shri Gurinder Pal Singh is also reproduced below :

“Q.3 Your attention is drawn to the press release of Business World dated 14.09.2012, wherein you stated to PTI that “we have decided to pass on the burden of increase in diesel price hike to customers. The freight charges will be increased with immediate effect by 15% across India” Please submit.

A.3 I may have said that the rentals may increase in future by 15% due to sudden and unprecedented increase of diesel price by Rs.5. There are serious omissions in my statement that are not carried by the media. I may have explained in addition that it may increase truck rental in future. It is only abstract statement and I remember correctly that I have explained in addition to that, which has not been mentioned by the media. It is wrong that to suggest that I have said that it is decided to increase the truck rentals by 15% across the country. It is wrong that the increase will be from immediate

effect. I had issued a duly signed press release dated
14th Sep. 2012 which was handed over to all
correspondents present in the conference including
PTI and requested them not to quote me orally. I
feel that my statements were misinterpreted by the
press. I am submitting a copy of the press release
 dated 14.09.2012 signed by me.”

[Underlining is ours]

62. In view of the aforesaid assertions of Shri Bal Malkit Singh and Shri Gurinder Pal Singh, the Addl. DG should have summoned the correspondents of the concerned newspapers or at least some of them and confronted them with the replies given by Shri Bal Malkit Singh and Shri Gurinder Pal Singh to the notice issued under Section 36(2). In that event, the two office bearers of the appellant could have also made a request for permission to cross-examine the correspondents and nail the falsehood of the headlines of the news reports and their contents. However, the Addl. DG did not undertake that exercise and there is no explanation for the same and also as to why the Commission did not deal with the objection taken by the appellant in that regard.

63. The entire issue deserves to be viewed from another angle. If the truck freight had in fact been increased across the board by 15%, the statements made by the two office-bearers of the appellant could have been relied upon for holding that the appellant had determined the hike in truck freight by 15%. However, the fact of the matter is that the truck rentals were not increased by 15% on most of the routes. At the cost of repetition, we may deem it necessary to mention that increase in the freight was

between 0 - 5% on 81 routes, 5-10% on 24 routes, 10-15% on 8 routes and more than 15% on 17 routes. If this increase is considered in the backdrop of the responses given by the transporters/ transport companies and transport associations, to whom notices were issued under Section 36(2) read with Section 41(2), it becomes more than clear that diesel price was only one of the factors taken into consideration for increasing the truck freight, the other being the cost of tyres, insurance, spare-parts, maintenance of the vehicles, salary of the driver etc. and no exception can be taken to such increase. It is not possible to appreciate as to why the Addl. DG and the Commission did not take cognisance of the factors highlighted by the transporters/transport companies and associations which are responsible for hike in truck freight. Surely, the transporters were not expected to exclusively bear the burden of hike in diesel price, the phenomena which was quite frequent till mid-2014, and suffer loss.

64. Before closing this aspect of the case, we would like to observe that the Addl. DG and the Commission have laid undue emphasis on the case decided by the MRTP Commission in RTPE 03/2000 in which the appellant was condemned for having issued circular for increase in the truck freight. That case obviously turned on its own facts. There is no parallel between the case decided by the erstwhile MRTP Commission and the present one. Therefore, the order passed in the earlier case could not have been relied upon for supporting a conclusion that the appellant has contravened the provisions of the Sections 3(3)(a) of the Act.

65. Now a few words about the judgments/ orders relied upon by Shri Samar Bansal. We have already noticed the observations contained in the judgment of the Supreme Court in TECHNIP SA vs. SMS Holdings (P) Ltd.

(supra). In Registrar of Restrictive Trade Trading Agreements vs. W.H. smith & Son Ltd. and others [1969] ALLER 1065, the Court of appeal interpreted the provisions of the Restrictive Trade Practices Act, 1956 for the purpose of deciding whether the Registrar of Restrictive Trade Agreements was entitled to summon two wholesalers which were carrying on an extensive wholesale and retail newspaper business. The Trial Judge held that the Branch Managers were not Managers or officers of their respective companies under Section 15(3) of the Act and, therefore, they could not be summoned. He accordingly rejected the application made by the Registrar for summoning the two officers. While reversing the order of the Registrar, the Court of Appeal made the following observation :

“In construing the Restrictive Trade Practices Act, 1956, it is useful to remember the mischief at which it was aimed. At one time traders used to come to restrictive agreements between themselves which were contrary to the public interest. They used to get together so as to seize all the trade for themselves, to keep up prices for their own selfish profit, to shut out any newcomers who might cut prices, and so forth. In order to get rid of such practices, Parliament required that all restrictive agreements should be registered and said that they were to be void unless they were proved to be in the public interest. It put a duty on traders themselves to register the agreements. But it is obvious that some traders would not do their duty. People who combine together to keep up prices do not shout it from the housetops. They keep it quiet. They make their own arrangements in the cellar

where no one can see. They will not put anything into writing, nor even into words. A nod or a wink will do. Parliament was well aware of this. So it included not only an “agreement” properly so-called, but any “arrangement” however informal. Every restrictive arrangement had to be registered. In order to discover whether any such arrangement had been made, they gave the registrar liberty to apply to the court to interrogate any person. How far does this power to interrogate extend? In particular, when the trader is a limited company, who are the persons who can be interrogated on its behalf? That is the question to be decided today.”

In *Motion Pictures Association, Delhi vs. Reliance Big Entertainment Pvt. Ltd.* and connected matters decided on 17.05.2013, this Tribunal upheld the order passed by the Commission in which it found the appellants guilty of action in violation of Section 3(3)(b) read with Section 3(1) of the Act. While rejecting the argument that there was no agreement between the entities engaged in identical or similar business, the Tribunal observed :

“The other argument of Shri Mehta was that in order to come under mischief of Section 3, there has to be an agreement between the entities engaged in identical or similar business and this not being the case here, there could be no breach of Section 3. In our opinion, the argument is clearly incorrect. There can be no dispute

that the rules of this association which followed the practices of boycotting of the non-members and the further rules of compelling the members, not to deal with the non-members, as also other practices discussed by the CCI in detail, would amount to an agreement between the members and the associations. There can be no doubt that the rules and the practices limited and controlled the production, supply etc. of the films and thereby directly coming within the mischief of Section 3(3)(b). The association may not have been held to be an 'enterprise' (we have our own reservation for that finding, however, we cannot go into that finding in view of there being no appeal in respect of the contravention of Section 4), but only on that basis, it cannot be said that there is no agreement. The CCI has given good reasons to support its finding regarding the contravention of Section 3(3)(b) to the effect that this association was a representative association of its members, who themselves were acting as per the anti-competitive rules and engaging themselves into anti-competitive practices. In our opinion, therefore, the finding regarding the contravention of Section 3(3)(b) is a correct finding. The learned counsel also tried to urge that article 4(a) of the articles of association, prohibiting from dealing with the non-members, was merely in the nature of self-regulation. It was also tried to be urged that the non-member distributors and exhibitors were surviving on piracy. It was also tried to be urged that this

regulation was for the benefit of the members and members of the appellant association themselves had agreed to curtail their power by agreeing to become a member of the association, which is a corporate entity and therefore, no fault can be found with this decision of the distributors member in agreeing to bind themselves to a particular code of conduct, whereby they required the producer and non-member producer also to respect the code of conduct by agreeing to sign the declaration. The argument is clearly incorrect. It is not that everybody was happy with the rules and in fact, the Informant has shown that they were not happy with the rules at all, but were compelled to follow the rules of the associations. In that view, this argument that the members are benefited would be of no consequence.”

In *International Cylinder (P) Ltd. and others vs. Competition Commission of India and others* [2014] CompLR 0184 and *Sodhi Transport Co. and others vs. State of U.P. and others*, the Tribunal and the Supreme Court explained the scope of rebuttable presumption.

66. In our opinion, none of the above noted judgements/orders has any bearing on the present case, the decision of which has turned on its own facts and the questions of law considered in the aforesaid judgments do not arise in this case.

67. As a sequel to the above discussion, we hold that the findings recorded by the Addl. DG in the main as well as supplementary reports were

based on pure assumption and conjectures as also misreading of the record and were not based on any tangible evidence. We further hold that the Commission committed grave error by approving the findings recorded by the Addl. DG and, as such, the impugned order is legally unsustainable.

68. In the result, the appeal is allowed. The impugned order is set aside and the penalty imposed by the Commission on the appellant is quashed.

[G.S. Singhvi]
Chairman

[Rajeev Kher]
Member

18th April, 2016